

# AS Business 9609 - Model Answers by Topic

Cambridge International AS Level Business (9609). Syllabus 2026-2028.

Comprehensive model answers covering the entire AS syllabus, organised by topic.

Skill tags: [K]=Knowledge, [App]=Application, [An]=Analysis, [Ev]=Evaluation, [Calc]=Calculation.

## 1. ENTERPRISE & ENTREPRENEURSHIP

Barriers to entrepreneurship, entrepreneurial qualities, intrapreneurship, and risk-taking.

### Barriers to Entrepreneurship (March 2024 P12 Q6a)

Q: Explain two barriers to entrepreneurship. [4]

A: [K] A barrier to entrepreneurship is an obstacle that prevents or discourages an individual from starting a business.

- Lack of finance: [K] Many entrepreneurs struggle to raise sufficient start-up capital. [App] Banks may be reluctant to lend to new businesses with no track record. [An] Without finance, the entrepreneur cannot buy the resources needed (premises, stock, equipment) and the business idea remains unrealised.
- Fear of failure/risk: [K] Starting a business involves personal financial risk, especially with unlimited liability. [An] The entrepreneur may lose personal savings or assets if the business fails, and this discourages risk-averse individuals from starting up.
- Strong competition: [K] Established firms may dominate the market. [An] A new entrant faces difficulty attracting customers away from well-known brands with loyal customer bases, making survival difficult.
- Lack of skills/experience: [K] Running a business requires a range of skills (finance, marketing, operations). [An] Without these, the entrepreneur may make costly mistakes leading to early failure.

### Entrepreneurial Qualities (Case Study - Priya's Bookshop June 2022 P21)

Q: Explain two qualities needed by an entrepreneur such as Priya. [4]

A:

- [K] Risk-taking: An entrepreneur must be willing to invest personal savings and accept the possibility of financial loss. [App] Priya invested her savings into opening the bookshop without a guarantee of success. [An] Without willingness to take risks, the business would never have been started.
- [K] Determination/resilience: An entrepreneur needs perseverance to overcome setbacks and challenges. [App] Priya continued despite initial low customer numbers. [An] Giving up at the first sign of difficulty would mean the business fails before it has chance to establish itself.
- [K] Creativity/innovation: The ability to develop new ideas or spot market gaps. [App] Priya identified an opportunity in her local area for a specialist bookshop. [An] This creativity allows the entrepreneur to differentiate from competitors and attract customers.

### Entrepreneur Role (Case Study - Planting Pots Nov 2022 P23)

Q: Explain the role of an entrepreneur. [3]

A:

- [K] An entrepreneur is someone who takes the financial risk of starting and running a new business.
- [K] They organise the other factors of production (land, labour, capital) and make key business decisions.
- [An] The entrepreneur bears the risk of loss but also receives the reward of profit if successful.

### **Intrapreneur Qualities (Nov 2023 P13 Q5a)**

Q: Explain two qualities of an intrapreneur. [4]

A:

- [K] Creativity/innovation: An intrapreneur generates new ideas for products, services or processes within an existing business. [An] This helps the business stay competitive and respond to changing market conditions without the individual bearing personal financial risk.
- [K] Self-motivation/initiative: An intrapreneur acts on their own initiative within the organisation rather than waiting to be told. [An] This proactive approach means new opportunities are identified and developed, benefiting the employer through improved products or efficiency.
- [K] Risk-taking (within limits): Although they do not risk personal finances, intrapreneurs take career risks by championing new untested ideas. [An] This willingness to challenge existing practices drives innovation within established firms.

### **Risk-Taking in Business (Oct 2025 P11 Q5b)**

Q: Evaluate the importance of risk-taking in clothing design. [11]

A:

- [K] Risk-taking means accepting the possibility of loss in pursuit of potential reward. In clothing design, this means creating innovative designs that may or may not appeal to consumers.
- [An] FOR: Without risk-taking, a clothing designer would only produce safe, conventional designs. This could lead to the business being seen as boring and losing market share to more innovative competitors. Taking risks with bold new designs can create a USP and attract fashion-conscious customers willing to pay premium prices.
- [An] FOR: Risk-taking can lead to first-mover advantage - if a new design trend is started by the business, it gains recognition and brand prestige. This builds brand loyalty and long-term revenue.
- [An] AGAINST: However, excessive risk-taking could lead to designs that nobody wants to buy. This means unsold inventory, wasted production costs, and potential cash flow problems. For a small business, one unsuccessful collection could threaten survival.
- [An] AGAINST: Risk-taking is expensive - investing in innovative materials or production methods costs money. If these do not generate sufficient revenue, the business makes a loss.
- [Ev] JUDGEMENT: Risk-taking is essential in clothing design because fashion is a dynamic, trend-driven industry. However, it should be calculated risk supported by market research. The level of risk appropriate depends on the size of the business (larger firms can absorb failures), the target market (high fashion requires more innovation than basic clothing), and financial reserves available.

### **Public Sector Objectives (March 2024 P12 Q6b)**

Q: Evaluate the objectives of a public sector energy supplier. [11]

A:

- [K] Public sector organisations are owned and controlled by the government. Their objectives differ from private sector firms.
- [An] A public sector energy supplier would prioritise providing affordable energy to all citizens rather than maximising profit. [An] This is because the government aims to ensure essential services are accessible, especially to low-income households who might not afford market-rate prices.
- [An] Another objective would be ensuring reliable supply across the country, including remote rural areas that private firms might find unprofitable to serve. [An] This supports economic development and social equity.
- [An] Environmental sustainability may also be a key objective - the government can direct the supplier to invest in renewable energy sources even if short-term costs are higher. [An] This serves long-term national interests even if it reduces short-term efficiency.
- [An] HOWEVER: Without a profit motive, there may be less incentive to control costs or improve efficiency. [An] This could lead to waste and higher costs to taxpayers. The supplier may also face political pressure to keep prices artificially low before elections, creating financial problems.
- [Ev] JUDGEMENT: The objectives of a public sector energy supplier balance social welfare, universal access, and sustainability against the need for financial viability. The weighting depends on government priorities and economic conditions - in times of energy crisis, affordable supply becomes the dominant objective.

## 2. BUSINESS STRUCTURE

Sole traders, partnerships, private/public limited companies, co-operatives, franchises.

### Sole Trader to Partnership Disadvantages (June 2022 P13 Q5a)

Q: Explain two disadvantages to an owner of changing from a sole trader to a partnership. [4]

A:

- [K] Loss of control: As a sole trader, the owner makes all decisions independently. [An] In a partnership, decisions must be shared/agreed with partners, meaning the original owner loses autonomy and may disagree with partner decisions that affect the business direction.
- [K] Shared profits: A sole trader keeps all profits. [An] In a partnership, profits must be divided according to the partnership agreement. Even if the original owner works harder, they may receive less than they would have as a sole trader.
- [K] Potential for conflict: Partners may disagree on strategy, workload, or financial matters. [An] This can damage the business and personal relationships, and is not a risk faced by a sole trader operating alone.

### Franchise Agreement Evaluation (June 2022 P13 Q5b)

Q: Evaluate whether a franchise agreement is the best option for starting a new fast-food business. [11]

A:

- [K] A franchise is a legal agreement where the franchisee pays the franchisor for the right to trade using their brand, systems, and support.
- [An] ADVANTAGES: The franchisee benefits from an established brand name that customers already trust. [App] For fast food, brand recognition is crucial as customers want consistent quality. This reduces the risk of failure compared to starting an independent business.
- [An] The franchisor provides training, marketing support, and proven operating systems. [An] This

is valuable for someone with limited business experience, reducing the learning curve and likelihood of costly mistakes.

- [An] **DISADVANTAGES:** However, franchise fees and ongoing royalties significantly reduce profit margins. [An] The franchisee must pay both an initial fee and a percentage of revenue, meaning they keep less profit than an independent owner would.
- [An] The franchisee has limited freedom - they must follow the franchisor rules on menu, pricing, decor, and suppliers. [An] This means they cannot adapt to local tastes or innovate, which could be frustrating and limit competitiveness in specific locations.
- [Ev] **JUDGEMENT:** A franchise is likely the best option for someone new to business with limited experience, as the support and proven model significantly reduce risk. However, for an experienced entrepreneur with strong local market knowledge, an independent business offers more freedom and higher potential profit. It depends on the individual risk tolerance, experience, and available capital.

### **Plc Advantages (Nov 2022 P13 Q7a)**

Q: Explain two advantages of being a public limited company (Plc). [4]

A:

- [K] **Access to large amounts of capital:** A Plc can sell shares to the public on the stock exchange. [An] This enables the business to raise far more finance than a private limited company, funding major expansion, R&D, or acquisitions that would otherwise be impossible.
- [K] **Greater public profile/credibility:** Being listed on the stock exchange raises the company profile and credibility with suppliers, customers, and potential employees. [An] This can lead to better credit terms, attract higher quality staff, and increase customer confidence in the brand.
- [K] **Limited liability for shareholders:** Shareholders can only lose the amount they invested. [An] This encourages investment as personal assets are protected, making it easier to attract many small investors.

### **Co-operative Disadvantages (Case Study - Great Desks June 2023 P23)**

Q: Explain one disadvantage to GD of being a co-operative. [3]

A:

- [K] **Slow decision-making:** In a co-operative, decisions are made democratically (one member, one vote). [App] For GD, this means all members must be consulted on important decisions. [An] This slows down the decision-making process, meaning the business may miss opportunities or be slow to respond to market changes compared to a sole trader or partnership where one or two people decide quickly.
- [K] **Limited finance:** Co-operatives cannot sell shares on the stock exchange and rely on member contributions. [An] This limits the capital available for growth and investment compared to a limited company.

### **Co-operative Structure (Case Study - Farm Produce June 2022 P22)**

Q: Explain what is meant by a co-operative. [2]

A:

- [K] A co-operative is a business owned and controlled by its members, who each have an equal vote in decision-making (one member, one vote). Profits are shared among members rather than going to external shareholders.

## **Joint Venture (Case Study - Seaside Hotel June 2022 P22)**

Q: Define joint venture. [2]

A:

- [K] A joint venture is when two or more businesses agree to work together on a specific project or business activity, sharing the costs, risks, and profits, while remaining separate organisations.

## **3. SIZE OF A BUSINESS**

Measuring size, growth methods (organic/external), mergers, business plans.

### **Measuring Business Size - Limitations of Employee Numbers (June 2024 P11 Q5a)**

Q: Explain two limitations of using number of employees to measure the size of a business. [4]

A:

- [K] Capital-intensive businesses may have very few employees but huge output/revenue. [An] A highly automated factory with 50 workers could produce more output and revenue than a labour-intensive firm with 500 workers, so employee numbers understate the automated firm true size.
- [K] Part-time vs full-time workers create comparison problems. [An] A business with 200 part-time employees may actually have less labour input than one with 80 full-time employees, making direct comparison of employee numbers misleading.
- [K] Different industries have different labour needs. [An] Comparing a service business (many employees) with a technology firm (few employees, high revenue) using employee numbers gives a misleading picture of relative size.

### **Role of Small Retail Businesses (June 2024 P11 Q5b)**

Q: Evaluate the role of small retail businesses in an economy. [11]

A:

- [K] Small retail businesses are those with relatively few employees and low turnover compared to large chains.
- [An] FOR: Small retailers create significant employment in local communities. [An] They employ local people who spend their wages locally, creating a multiplier effect that supports other local businesses and services.
- [An] FOR: They provide choice and competition, preventing large chains from monopolising the market. [An] This benefits consumers through variety, personal service, and sometimes lower prices in competitive local markets.
- [An] FOR: Small retailers serve niche markets and local needs that large chains may ignore. [An] They provide specialist products and personalised service that large retailers cannot match, adding value to communities.
- [An] AGAINST: However, small retailers often struggle to compete on price with large chains that benefit from economies of scale. [An] This means some small retailers fail, leading to job losses and empty high street premises.
- [An] AGAINST: They may offer limited product range and opening hours compared to large retailers or online alternatives.

- [Ev] JUDGEMENT: Small retailers play a vital role in providing employment, choice, and community cohesion. Their importance depends on the local economic context - in areas poorly served by large retailers, they are essential. Government support (business rates relief, grants) can help them survive alongside larger competitors.

### **Social Enterprise (Short Answers)**

Q: Define a social enterprise. [2]

A:

- [K] A social enterprise is a business that trades to achieve social or environmental objectives rather than maximising profit for owners. [K] It reinvests the majority of its profits back into the business or community to achieve its social mission.

### **Family Business Weakness (Short Answers)**

Q: Explain one weakness of a family business. [2]

A:

- [K] Succession problems: When the founder retires or dies, the next generation may lack the skills, interest, or vision to continue successfully. [An] This can lead to poor management decisions, internal family conflict, and potentially business failure.

### **Organic Growth (Short Answers)**

Q: Define organic growth. [2]

A:

- [K] Organic (internal) growth is when a business expands using its own resources, such as increasing sales, opening new branches, developing new products, or entering new markets, rather than merging with or taking over another business.

### **Reasons for Organic Growth (Nov 2024 P13 Q5a)**

Q: Explain two reasons why a business might choose organic growth. [4]

A:

- [K] Lower risk: Organic growth is gradual and controlled by the business itself. [An] Unlike a merger or takeover, there is no risk of culture clash, integration problems, or paying too much for another business. The firm grows at a manageable pace.
- [K] Maintains control: The existing owners/managers retain full control of the business. [An] With external growth through share issues or mergers, ownership may be diluted and control shared with new stakeholders who may have different objectives.
- [K] Financed from retained profits: Organic growth can be funded internally without taking on debt or selling shares. [An] This means no interest payments, no dilution of ownership, and no external interference in decision-making.

### **Friendly Merger Evaluation (Nov 2024 P13 Q5b)**

Q: Evaluate whether a friendly merger is the best method of growth for a food manufacturer. [11]

A:

- [K] A friendly merger is when two businesses mutually agree to combine into one new entity, with both boards supporting the decision.
- [An] FOR: A friendly merger gives immediate access to the other firm distribution networks, brands, and customer base. [App] For a food manufacturer, this could mean instant access to new supermarket shelf space and an established supply chain, which would take years to build organically.
- [An] FOR: Economies of scale can be achieved quickly - bulk buying of ingredients, shared production facilities, combined marketing budgets. [An] This reduces average costs and improves competitiveness in the price-sensitive food market.
- [An] FOR: Because it is friendly, both management teams cooperate, reducing integration problems and culture clash. [An] Staff are more likely to accept the change, maintaining morale and productivity.
- [An] AGAINST: However, mergers are expensive - legal fees, restructuring costs, and potential redundancy payments. [An] There is no guarantee that expected synergies will materialise, and the combined business may face diseconomies of scale.
- [An] AGAINST: Even friendly mergers can encounter unexpected culture clashes and disagreements over strategy. [An] Two different management approaches may conflict, leading to confusion and inefficiency.
- [Ev] JUDGEMENT: A friendly merger can be effective for a food manufacturer seeking rapid growth and market share, particularly if the partner has complementary products or distribution. However, success depends on thorough due diligence, clear integration plans, and compatible corporate cultures. Organic growth may be safer but slower. The best method depends on the urgency of growth, available finance, and specific market conditions.

### **Vertical Merger Benefits (Oct 2025 P11 Q5a)**

Q: Explain two benefits of a vertical merger for a clothing retailer. [4]

A:

- [K] Backward vertical integration (merging with a supplier): The clothing retailer secures guaranteed supply of materials/garments. [An] This reduces the risk of supply disruption, gives better control over quality, and may reduce costs by cutting out the supplier profit margin.
- [K] Forward vertical integration or backward: Greater control over the supply chain. [An] The retailer can ensure faster delivery times, better respond to fashion trends, and reduce dependence on external suppliers who might also supply competitors.
- [K] Cost savings: By eliminating the intermediary profit margin, the merged business keeps more value in-house. [An] This can either increase profit margins or allow lower prices to gain competitive advantage.

### **Business Plan Limitations (Nov 2024 P11 Q5a)**

Q: Explain two limitations of a business plan. [4]

A:

- [K] Based on forecasts/assumptions that may be inaccurate: A business plan relies on predictions about future sales, costs, and market conditions. [An] If these predictions are wrong (e.g., demand is overestimated or costs underestimated), the plan becomes unreliable and may lead to poor decisions.

- [K] Quickly becomes outdated in a dynamic environment: Markets, competition, technology, and the economy constantly change. [An] A plan written months ago may no longer reflect reality, yet entrepreneurs may stick rigidly to an outdated plan rather than adapting to new circumstances.
- [K] Time-consuming to prepare: Writing a thorough plan takes significant time and effort. [An] For a small entrepreneur, this time could alternatively be spent on actually developing the business, serving customers, or generating revenue.

## **External Growth for Chocolate Manufacturer (Nov 2024 P11 Q5b)**

Q: Evaluate whether external growth is the best strategy for a chocolate manufacturer. [11]

A:

- [K] External growth means expanding by merging with or taking over another business, or forming joint ventures/strategic alliances.
- [An] FOR: Acquiring another chocolate brand gives immediate market share and brand portfolio expansion. [An] In the competitive confectionery market, this is much faster than trying to grow organically by launching new products that may take years to become established.
- [An] FOR: Horizontal merger with a competitor provides economies of scale in purchasing (cocoa, sugar, packaging), production, and distribution. [An] This reduces average costs significantly in an industry where margins are tight.
- [An] FOR: Acquiring a business in another country provides immediate international presence. [An] Rather than spending years building distribution networks abroad, the manufacturer gains established relationships with overseas retailers.
- [An] AGAINST: However, mergers/takeovers are expensive and risky. [An] The manufacturer may overpay, face culture clash, or struggle to integrate different production systems and brand identities. Failed mergers waste resources and distract management.
- [An] AGAINST: External growth may face regulatory barriers if it reduces competition excessively. [An] Competition authorities may block the merger if it creates a dominant market position that harms consumers.
- [Ev] JUDGEMENT: External growth can be highly effective for a chocolate manufacturer seeking rapid expansion, especially for gaining international presence or adding complementary brands. However, it should be balanced with organic innovation (new products, flavours). The best approach likely combines both strategies. Success depends on careful target selection, thorough due diligence, and effective post-merger integration.

## **Remaining Small (Short Answers)**

Q: Explain two reasons why a business might choose to remain small. [4]

A:

- [K] Owner preference for control: Some owners prefer to make all decisions personally and maintain close relationships with customers and staff. [An] Growth would mean delegating responsibility and losing the personal touch that may be the business competitive advantage.
- [K] Niche market: The market the business serves may be too small to support a larger operation. [An] Growing beyond what the market demands would lead to unsold products and wasted resources. Remaining small and specialist can be more profitable.

## **Outsourcing (Short Answers)**

Q: Define outsourcing. [2]

A:

- [K] Outsourcing is when a business contracts out a function or activity to an external specialist firm rather than performing it in-house. Examples include IT support, cleaning, payroll, or manufacturing components.

### **Measuring Business Size (Case Study - Gold Theme Park Nov 2023 P22)**

Q: Explain two methods of measuring the size of a business such as GT. [4]

A:

- [K] Revenue/turnover: The total value of sales made by the business over a period. [App] For a theme park like GT, this includes ticket sales, food/drink, merchandise, and hotel bookings. [An] Higher revenue generally indicates a larger business with more customers.
- [K] Number of employees: The total workforce employed. [App] A large theme park requires many staff (ride operators, catering, maintenance, management). [An] More employees generally suggests a larger-scale operation, though this can be misleading if many are part-time or seasonal.
- [K] Capital employed: The total value of assets used by the business. [App] GT would have significant capital in rides, buildings, and land. [An] This reflects the scale of investment and physical size of the operation.

## **4. BUSINESS OBJECTIVES**

SMART objectives, corporate vs marketing objectives, ethics, CSR.

### **SMART Objectives (June 2023 P11 Q6a)**

Q: Explain why SMART objectives are important for a business. [4]

A:

- [K] SMART stands for Specific, Measurable, Achievable, Realistic, and Time-bound.
- [An] Specific: Clear objectives give direction to all employees, ensuring everyone works towards the same goal rather than pulling in different directions.
- [An] Measurable: Allows the business to assess whether the objective has been achieved, enabling performance review and accountability.
- [An] Achievable/Realistic: Setting targets that are challenging but possible motivates staff. Unrealistic targets demotivate because employees feel they cannot succeed regardless of effort.
- [An] Time-bound: Deadlines create urgency and allow progress to be monitored, preventing drift and procrastination.

### **Ethics in Mining HRM (June 2023 P11 Q6b)**

Q: Evaluate how ethical considerations affect human resource decisions in a mining company. [11]

A:

- [K] Business ethics are moral principles that guide business behaviour and decision-making, distinguishing right from wrong.
- [An] FOR ethical HRM: Providing safe working conditions in mines protects workers from injury/death. [App] Mining is inherently dangerous (cave-ins, toxic gases, heavy machinery). [An] Ethical treatment means investing in safety equipment, training, and procedures even though this

increases costs. This reduces accidents, improves morale, and avoids costly compensation claims and legal action.

- [An] FOR: Paying fair wages above minimum rates and providing good working conditions helps recruit and retain skilled workers. [An] In mining, experienced workers are essential for safety and productivity. High turnover due to poor conditions is costly and dangerous.
- [An] AGAINST: However, acting ethically increases costs significantly. [An] Safety equipment, training, higher wages, reduced working hours, and environmental protection all reduce short-term profits. In a competitive global market, this may make the mine less price-competitive against rivals in countries with lower standards.
- [An] AGAINST: Shareholders may resist ethical spending that reduces their dividends. [An] This creates conflict between stakeholder groups - workers want safety and fair pay, shareholders want maximum returns.
- [Ev] JUDGEMENT: Ethical HRM is both morally right and commercially sensible in the long run for a mining company. Poor conditions lead to strikes, legal action, reputational damage, and difficulty recruiting. However, the extent of ethical investment depends on legal requirements, competitive pressures, and the company financial position. A balance must be struck between worker welfare and commercial viability.

### **Ethics in Banking (Nov 2022 P13 Q7b)**

Q: Evaluate the importance of ethics for a banking business. [11]

A:

- [K] Ethics in banking means acting honestly, transparently, and fairly towards customers, staff, and society.
- [An] FOR: Trust is fundamental to banking - customers deposit savings and take loans. [An] If a bank acts unethically (mis-selling products, hidden charges, irresponsible lending), customers lose trust and switch to competitors. Rebuilding trust after scandals takes years and costs billions in fines and compensation.
- [An] FOR: Ethical behaviour helps avoid legal penalties and regulatory sanctions. [An] Banks operate in a heavily regulated environment. Unethical practices (money laundering, fraud, market manipulation) lead to massive fines, criminal prosecution of executives, and potential loss of banking licence.
- [An] FOR: Attracts ethical investors and customers who increasingly choose institutions aligned with their values. [An] Growing demand for ethical banking and ESG investment means unethical banks lose market share.
- [An] AGAINST: However, strict ethical standards may reduce short-term profit. [An] Refusing to lend to high-risk borrowers (ethical) means missing profitable opportunities. Not investing in controversial but profitable industries limits returns.
- [Ev] JUDGEMENT: Ethics is critically important in banking because the industry depends on trust, operates under strict regulation, and affects millions of customers financial wellbeing. Short-term profit from unethical behaviour is vastly outweighed by long-term costs of fines, customer loss, and reputational damage. The 2008 financial crisis demonstrated the catastrophic consequences of unethical banking practices for the entire economy.

### **Changing Objectives Affecting Shareholders (March 2023 P12 Q6a)**

Q: Explain how changing business objectives might affect shareholders. [4]

A:

- [K] Business objectives may change due to market conditions, new leadership, or external pressures (e.g., shifting from profit maximisation to growth or sustainability).
- [An] If a business shifts from profit maximisation to growth: shareholders may receive lower dividends in the short term as profits are reinvested in expansion. [An] However, successful growth may increase share value in the long term, benefiting shareholders through capital gains.
- [An] If objectives shift towards CSR/sustainability: increased spending on ethical/environmental initiatives reduces short-term profits and dividends. [An] Some shareholders (especially institutional investors focused on quarterly returns) may sell shares, reducing share price.
- [An] However, shareholders who take a long-term view may welcome CSR objectives as they reduce risk (of fines, boycotts, reputational damage) and attract ethical consumers, supporting long-term profitability.

### **Triple Bottom Line (Case Study - Delicious Cocoa June 2023 P21)**

Q: Explain what is meant by the triple bottom line. [3]

A:

- [K] The triple bottom line measures business success across three dimensions: People (social impact), Planet (environmental impact), and Profit (financial performance).
- [An] Rather than judging success solely on profit, the triple bottom line encourages businesses to also consider their impact on employees, communities, and the environment. This aligns with CSR principles and stakeholder theory.

## **5. STAKEHOLDERS**

Definitions, conflict, responsibilities, stakeholder impacts on decisions.

### **Stakeholder Definitions**

Q: Define the term stakeholder. [2]

A:

- [K] A stakeholder is any individual or group that has an interest in, or is affected by, the activities and decisions of a business. Examples include employees, shareholders, customers, suppliers, the local community, and government.

### **Stakeholder Responsibilities**

Q: Explain the responsibilities a business has to its stakeholders. [4]

A:

- [K] To employees: Provide fair wages, safe working conditions, job security, and opportunities for development. [An] Fulfilling these responsibilities improves motivation, reduces turnover, and increases productivity.
- [K] To customers: Provide safe, quality products at fair prices with honest marketing. [An] Meeting responsibilities to customers builds brand loyalty and repeat business, supporting long-term revenue.
- [K] To shareholders: Provide a fair return on investment through dividends and share price growth, and transparent reporting. [An] Meeting shareholder expectations ensures continued investment in the business.

- [K] To the community: Minimise negative externalities (pollution, noise, traffic), provide local employment. [An] Good community relations prevent protests, planning objections, and reputational damage.

## Stakeholder Conflict

Q: Explain how conflict might arise between different stakeholder groups. [4]

A:

- [K] Shareholders want maximum profit/dividends vs Employees want higher wages: [An] Paying higher wages reduces profit available for dividends. Both groups compete for a share of the same revenue, creating inherent conflict.
- [K] Customers want low prices vs Shareholders want high profit: [An] Cutting prices to attract customers reduces profit margins. The business must balance competitive pricing with shareholder returns.
- [K] Community wants environmental protection vs Shareholders want low costs: [An] Investing in pollution reduction, waste management, and sustainable practices increases costs and reduces profit, but the community demands responsible behaviour.

## Mining Company Stakeholders (Exam Question)

Q: Analyse how two stakeholder groups are affected by a mining company expanding its operations. [6]

A:

- [K/App] Local community: The expansion may create jobs and increase local spending, benefiting local businesses. [An] However, it may also increase noise, dust, traffic, and environmental damage, reducing quality of life for residents and potentially harming property values and health.
- [K/App] Employees: Expansion creates new jobs and promotion opportunities. [An] However, workers may face increased health risks from expanded mining operations, longer hours during the expansion phase, or pressure to work in newly opened areas before safety measures are fully established.
- [K/App] Shareholders: Expansion should increase output, revenue, and long-term profit. [An] However, the short-term costs of expansion (machinery, development, recruitment) reduce profits and dividends until the new operations become productive, creating a tension between short-term and long-term returns.

## Stakeholder Interests Affecting Decisions

Q: Evaluate how stakeholder interests might affect business decision-making. [11]

A:

- [K] Stakeholder theory suggests businesses should consider all stakeholder groups when making decisions, not just shareholders.
- [An] Customer interests affect product decisions: If customers demand ethical/sustainable products, the business must adapt its sourcing and production or risk losing market share. [An] This may increase costs but maintains revenue by meeting demand.
- [An] Employee interests affect HR decisions: If skilled workers demand flexible working, training, and good conditions, the business must offer these to recruit and retain talent. [An] Ignoring employee needs leads to high turnover, low morale, and reduced productivity.
- [An] Government/regulatory interests constrain decisions: Legal requirements on minimum wage,

health and safety, environmental standards limit choices. [An] Non-compliance leads to fines, closure, or imprisonment of directors.

- [An] HOWEVER: A business cannot satisfy all stakeholders simultaneously due to conflicting interests. [An] Prioritising environmental stakeholders by investing heavily in sustainability may reduce shareholder returns. The business must balance competing interests.
- [Ev] JUDGEMENT: All stakeholder groups influence decisions to some extent, but their power varies. In practice, shareholder interests often dominate in Plcs due to the need to maintain share price. However, ignoring other stakeholders creates long-term risks (boycotts, strikes, legal action, loss of social licence to operate). The most successful businesses find ways to create value for multiple stakeholders simultaneously.

### **Stakeholders Affected by Product Removal (Case Study - Farm Produce June 2022 P22)**

Q: Analyse how stakeholders might be affected by the removal of a product from the range. [6]

A:

- [App] Employees: Workers involved in producing that product may face redundancy or redeployment. [An] This creates uncertainty, reduces morale, and may require retraining. Skilled workers may leave the business entirely.
- [App] Customers: Those who regularly purchased the product lose access to it. [An] They must find alternatives, possibly from competitors. This may damage customer loyalty and lead to loss of other sales if customers switch their entire shopping to a competitor.
- [App] Suppliers: Firms supplying raw materials for that product lose a customer. [An] If the farm was a major buyer, this could significantly reduce the supplier revenue and potentially threaten their viability.

### **Stakeholder Identification (Case Study - MX Bikes June 2023 P22)**

Q: Identify two stakeholders of MXB and explain their interest. [4]

A:

- [App] Customers (motorcycle enthusiasts): They have an interest in product quality, safety, performance, and fair pricing. [An] If MXB produces unreliable or unsafe motorcycles, customers are directly harmed and will switch to competitors.
- [App] Employees (designers, mechanics, production workers): They have an interest in job security, fair wages, safe working conditions, and career development. [An] If MXB struggles financially or moves production methods, employees livelihoods are directly affected.

### **Sustainability Impact on Stakeholders (Case Study - Fruit Farm March 2023 P22)**

Q: Analyse how a commitment to sustainability impacts different stakeholders. [6]

A:

- [K] Sustainability means meeting present needs without compromising the ability of future generations to meet their own needs.
- [App] Customers: May benefit from organic/sustainable products they value and are willing to pay more for. [An] However, prices may increase due to higher production costs of sustainable methods, potentially pricing out budget-conscious customers.

- [App] Employees: May benefit from safer working conditions (fewer chemicals, better practices). [An] They may also feel more motivated working for a business with positive values, improving morale and retention.
- [App] Shareholders: Short-term profits may fall due to investment in sustainable practices. [An] However, long-term brand value increases, customer loyalty grows, and the business avoids future regulatory penalties, potentially increasing long-term returns.
- [App] Local community: Benefits from reduced pollution, protection of local environment, and responsible land use. [An] This improves quality of life and reduces health risks from chemical exposure.

## 6. SOURCES OF FINANCE

Overdrafts, loans, grants, crowdfunding, sale and leaseback, retained profit, working capital, share issues.

### Bank Overdraft (Case Study - Great Resources)

Q: Explain one advantage and one disadvantage of a bank overdraft as a source of finance. [4]

A:

- [K] An overdraft allows a business to withdraw more money from its bank account than it currently holds, up to an agreed limit.
- [An] Advantage - Flexibility: The business only borrows what it needs and only pays interest on the amount actually overdrawn. [App] For GR, this is useful for managing short-term cash flow gaps (e.g., paying suppliers before customer payments arrive). [An] Unlike a loan, there are no fixed monthly repayments, giving flexibility.
- [An] Disadvantage - High interest rate and can be recalled: Overdraft interest rates are typically higher than loan rates. [An] Also, the bank can reduce or withdraw the overdraft facility at short notice, leaving the business unable to pay its bills. This creates financial uncertainty.

### Overdraft Definition and Reasons (15-mark set)

Q: Define an overdraft and explain two reasons a business might use one. [4]

A:

- [K] An overdraft is a short-term borrowing facility where the bank allows the business to spend more than is in its current account, up to an agreed limit. Interest is charged only on the amount overdrawn.
- [An] Reason 1 - Seasonal cash flow gaps: Many businesses have periods when outflows exceed inflows (e.g., buying stock before a busy season). [An] An overdraft covers these temporary shortfalls without committing to a long-term loan.
- [An] Reason 2 - Unexpected expenses: Emergencies (equipment breakdown, sudden large order requiring immediate materials purchase) need immediate funding. [An] An overdraft provides instant access without the delay of applying for a loan.

### Sale and Leaseback (15-mark set)

Q: Explain what is meant by sale and leaseback as a source of finance. [3]

A:

- [K] Sale and leaseback is when a business sells an asset it owns (typically property) to a finance company and immediately leases it back for regular payments. [An] This releases a large lump sum of capital tied up in the asset while the business continues to use it. However, the business no longer owns the asset and must make ongoing lease payments, which is a long-term cost.

### **Internal Sources of Finance (15-mark set)**

Q: Explain two internal sources of finance. [4]

A:

- [K] Retained profit: Profit kept in the business after tax and dividends have been paid. [An] It is free (no interest), does not dilute ownership, and is under the business control. However, it is limited by how much profit the business makes and takes time to accumulate.
- [K] Sale of assets: Selling items the business no longer needs (old machinery, vehicles, surplus property). [An] This raises immediate cash without borrowing. However, it is a one-off source and the business permanently loses those assets, which may be needed in future.

### **Government Grants Benefits (June 2023 P12 Q5a)**

Q: Explain two benefits to a business of receiving a government grant. [4]

A:

- [K] A government grant is money given by the government to a business, usually for a specific purpose, that does not need to be repaid.
- [An] Benefit 1 - Free finance: Unlike a loan, a grant does not need to be repaid and no interest is charged. [An] This reduces financial risk and improves cash flow, as there are no ongoing repayment obligations reducing monthly cash outflows.
- [An] Benefit 2 - Does not dilute ownership: Unlike issuing shares, receiving a grant means existing owners retain full control and do not share profits. [An] The business benefits from additional finance without giving up any equity or decision-making power.

### **Working Capital Management and Small Retailer Failure (June 2023 P12 Q5b)**

Q: Evaluate whether poor working capital management is the main reason small retailers fail. [11]

A:

- [K] Working capital = current assets minus current liabilities. It represents the funds available for day-to-day operations.
- [An] FOR: Poor working capital management means the business cannot pay suppliers, rent, or wages on time. [An] This leads to loss of supplier credit (must pay cash upfront), inability to restock, and ultimately closure. Many profitable businesses fail because they run out of cash despite having good sales.
- [An] FOR: Small retailers often have thin margins and seasonal demand. [An] Without careful management of receivables, payables, and inventory, temporary cash shortfalls become terminal. Overstocking ties up cash in unsold goods.
- [An] AGAINST: However, other factors may be more important. [An] Strong competition from online retailers and large chains may make the business model unviable regardless of how well working capital is managed. If customers simply do not visit the shop, no amount of cash management prevents failure.
- [An] AGAINST: Poor marketing, wrong location, lack of differentiation, and weak management

skills are also major causes of failure. [An] A retailer in the wrong location with the wrong products will fail even with perfect working capital management.

- [Ev] JUDGEMENT: Poor working capital management is a significant cause of small retailer failure and often the immediate trigger (running out of cash). However, it is usually a symptom of deeper problems (insufficient demand, poor planning, thin margins). The main cause varies by business - for some it is genuinely poor cash management, for others it is unviable market position. Both must be addressed for survival.

### **Working Capital as Finance Source (Case Study - Child Play)**

Q: Explain one advantage and one disadvantage of using working capital as a source of finance for expansion. [4]

A:

- [K] Using working capital means funding expansion from existing cash/current assets rather than borrowing externally.
- [An] Advantage - No cost of borrowing: Using available cash avoids interest payments and loan arrangement fees. [An] The business retains full ownership and control without external interference, and there is no debt on the balance sheet.
- [An] Disadvantage - Reduces liquidity: Using working capital for expansion means less cash available for daily operations. [An] This could prevent the business from paying suppliers on time, buying stock, or covering unexpected expenses, potentially threatening day-to-day survival while pursuing growth.

### **Crowdfunding (Case Study - Cartoon Costumes Nov 2022 P22)**

Q: Explain two benefits of crowdfunding as a source of finance for CC. [4]

A:

- [K] Crowdfunding raises finance from many individuals, each contributing small amounts, typically via an online platform.
- [An] Benefit 1 - Market validation: If many people are willing to fund the project, it demonstrates demand exists before full production. [App] For CC, successfully crowdfunding costume designs proves customers want them, reducing risk of producing unwanted products.
- [An] Benefit 2 - No debt or interest: Reward-based crowdfunding does not require repayment (backers receive the product instead). [An] This means no ongoing financial obligation, unlike a bank loan, preserving cash flow for other business needs.
- [An] Benefit 3 - Marketing/awareness: The crowdfunding campaign itself generates publicity and builds a customer base before launch. [App] CC gains visibility and early customers who become advocates for the brand.

### **Factors Affecting Finance Choice (Case Study - Planting Pots Nov 2022 P23)**

Q: Analyse two factors that influence the choice of source of finance for PP. [6]

A:

- [K] The choice of finance source depends on multiple factors specific to the business situation.
- [App/An] Purpose and time period: If PP needs short-term finance (e.g., to buy seasonal materials for planting pots), an overdraft is appropriate. If long-term finance is needed (new equipment, factory), a loan or retained profits are more suitable. [An] Matching the finance duration to the asset

lifespan avoids paying long-term interest for short-term needs.

- [App/An] Business type and ownership: As a small business, PP may not be able to issue shares publicly. [An] This limits options to loans, overdrafts, grants, and personal savings. The form of ownership directly determines which sources are legally available.
- [App/An] Amount needed: Small amounts can be covered by overdraft or retained profit. Large amounts may require a bank loan, multiple sources, or selling assets. [An] Banks may be unwilling to lend large amounts to a small business without significant security/collateral.

### **Sources of Finance for a Shop (Case Study - Great Desks June 2023 P23)**

Q: Recommend the most appropriate source of finance for GD to open a new shop. [6]

A:

- [K] Opening a new shop is a long-term investment requiring significant capital (lease deposit, fitting out, initial stock).
- [An] Bank loan: Provides a lump sum with fixed repayments over several years. [An] Appropriate for long-term investment as repayments are spread over time, manageable from shop revenues. However, requires security/collateral and interest increases total cost.
- [An] Retained profit: If GD has accumulated sufficient reserves, using internal funds avoids interest and debt. [An] However, this reduces the safety net for existing operations and may not provide enough for the full investment.
- [Ev] Recommendation: A combination is likely best - retained profit for part of the cost (reducing borrowing) and a bank loan for the remainder. This balances the benefit of avoiding excessive debt with the reality that retained profit alone may be insufficient for a significant expansion like opening a new shop.

### **Factors Influencing Finance Choice (June 2024 P11 Q6a)**

Q: Explain two factors that influence the choice of source of finance for a farming business. [4]

A:

- [App/An] Seasonal nature of farming: Farm income is highly seasonal (harvest periods), but costs occur year-round (animal feed, fertiliser, wages). [An] This means short-term overdraft facilities are essential to bridge gaps between spending and income. Long-term loans suit machinery/land purchase where returns come over many years.
- [App/An] Asset availability for security: Farms typically own valuable land and buildings that can serve as collateral for loans. [An] This makes bank lending more accessible and at lower interest rates than for businesses without physical assets. However, risking the farm as security means potential loss of livelihood if the business fails.

### **Revenue vs Capital Expenditure (Case Study - Cartoon Costumes Nov 2022 P22)**

Q: Distinguish between revenue expenditure and capital expenditure. [3]

A:

- [K] Revenue expenditure is spending on day-to-day running costs that are used up within the financial year (e.g., wages, rent, raw materials, electricity). It is recorded in the income statement.
- [K] Capital expenditure is spending on long-term assets that will be used over several years (e.g., machinery, vehicles, buildings). It is recorded on the balance sheet and depreciated over time.

## 7. COSTS & BREAK-EVEN

Fixed/variable/direct/marginal costs, break-even analysis, margin of safety.

### Marginal Cost (Short Answers)

Q: Define marginal cost. [2]

A:

- [K] Marginal cost is the additional cost of producing one more unit of output. It typically equals the variable cost per unit, as fixed costs do not change with output.

### Fixed Cost (Short Answers)

Q: Define fixed cost and give two examples. [3]

A:

- [K] A fixed cost is a cost that does not change with the level of output in the short term, regardless of how many units are produced. Examples include rent, insurance, salaries of permanent staff, and loan repayments.

### Direct Cost (Short Answers)

Q: Define direct cost. [2]

A:

- [K] A direct cost is a cost that can be clearly identified with and attributed to a specific product, service, or department. For example, raw materials used in a specific product or wages of workers on a specific production line.

### Variable Costs (Case Study - Jake's Cakes Nov 2023 P23)

Q: Explain what is meant by variable costs. Give an example for JC. [3]

A:

- [K] Variable costs are costs that change in direct proportion to the level of output - they increase as more units are produced and decrease as fewer are produced.
- [App] For JC (a cake business), examples include flour, sugar, eggs, butter, and packaging materials. The more cakes produced, the more of these ingredients are needed.

### Reducing Variable Costs (Short Answers)

Q: Explain two ways a business could reduce its variable costs. [4]

A:

- [An] Negotiate bulk discounts with suppliers: Buying larger quantities of raw materials at lower unit prices. [An] This directly reduces the variable cost per unit, improving contribution and profit margins on each item sold.
- [An] Improve efficiency/reduce waste: Better production methods, staff training, or technology that reduces the amount of materials wasted per unit. [An] Less waste means less material purchased

per unit of output, lowering variable costs.

- [An] Switch to cheaper suppliers or substitute materials: Finding lower-cost alternatives that maintain acceptable quality. [An] However, this risks reducing product quality which could damage reputation and sales.

### **Break-Even Analysis Uses (Short Answers)**

Q: Explain two uses of break-even analysis for a business. [4]

A:

- [K] Break-even analysis shows the level of output/sales at which total revenue equals total costs (neither profit nor loss).
- [An] Use 1 - Planning and decision-making: Before launching a product, a business can calculate whether expected sales exceed the break-even point. [An] If forecast sales are below break-even, the business knows it will make a loss and can reconsider pricing, costs, or whether to proceed at all.
- [An] Use 2 - Setting targets: The break-even point provides a minimum sales target for the business to cover its costs. [An] Managers can communicate this to sales teams as a clear target, and the margin of safety shows how much sales can fall before a loss is made, helping assess risk.

### **Margin of Safety (Short Answers)**

Q: Explain what is meant by the margin of safety. [3]

A:

- [K] The margin of safety is the difference between the current (or forecast) level of output/sales and the break-even level of output. Formula: Actual output - Break-even output = Margin of Safety.
- [An] It shows how much sales can fall before the business starts making a loss. A large margin of safety indicates low risk; a small margin means the business is vulnerable to even small drops in demand.

### **Decreasing Break-Even Output (Short Answers)**

Q: Explain two ways a business could decrease its break-even level of output. [4]

A:

- [K] Break-even = Fixed costs / Contribution per unit. To reduce break-even, either reduce fixed costs or increase contribution per unit.
- [An] Reduce fixed costs: Negotiate lower rent, cut overhead spending, reduce management salaries. [An] Lower fixed costs means fewer units need to be sold to cover those costs, lowering the break-even point.
- [An] Increase selling price (if demand is inelastic): A higher price increases contribution per unit (price minus variable cost). [An] Each unit covers more of the fixed costs, meaning fewer units need to be sold to break even. However, this may reduce demand if customers are price-sensitive.
- [An] Reduce variable costs per unit: Find cheaper materials or improve efficiency. [An] This increases contribution per unit without raising prices, reducing the break-even point while maintaining competitiveness.

### **Break-Even Analysis Benefits (June 2022 P11 Q7a)**

Q: Explain two benefits of break-even analysis for a business considering opening a new factory. [4]

A:

- [An] Helps assess viability: By calculating the break-even output for the new factory, the business can determine whether forecast demand is sufficient to cover the significant fixed costs (machinery, rent, staff). [An] If break-even output exceeds expected demand, the factory investment should not proceed.
- [An] Supports the business case for finance: Presenting break-even analysis to a bank or investors demonstrates that the business has carefully considered the financial implications. [An] Showing a realistic margin of safety provides confidence that the investment will generate profit, making it easier to secure funding.

### **Break-Even Limitations (Case Study - Seaside Hotel June 2022 P22)**

Q: Explain two limitations of break-even analysis for SH. [4]

A:

- [An] Assumes all output is sold: Break-even charts assume everything produced is sold at the same price. [App] For a hotel, room prices vary by season, day of week, and booking method (direct vs travel agent). [An] This makes the simple break-even calculation inaccurate as revenue per unit is not constant.
- [An] Assumes costs can be neatly separated into fixed and variable: In reality, some costs are semi-variable. [App] Hotel staffing costs partly fixed (permanent staff) and partly variable (agency staff for busy periods). [An] This complicates the calculation and reduces accuracy.
- [An] Static analysis: Break-even assumes fixed costs and variable costs remain constant. [An] In reality, costs change over time (rent reviews, supplier price changes), meaning the break-even point shifts and the analysis quickly becomes outdated.

### **Break-Even Calculation (Case Study - Pop-up Movies Nov 2022 P23)**

Q: Calculate the break-even number of customers for PM. Fixed costs = \$2,400, ticket price = \$12, variable cost per customer = \$4. [3]

A:

- [Calc] Contribution per unit = Selling price - Variable cost = \$12 - \$4 = \$8
- [Calc] Break-even = Fixed costs / Contribution per unit = \$2,400 / \$8 = 300 customers
- [An] PM needs at least 300 paying customers to cover all costs. Any customers above this number generate \$8 profit each.

### **Break-Even Data Use (Case Study - Pop-up Movies Nov 2022 P23)**

Q: Explain how PM could use break-even data to help run the business. [4]

A:

- [An] Setting ticket targets: Knowing 300 customers are needed to break even, PM can set marketing and sales targets. [An] If expected attendance is only 250, PM knows it will make a loss and can either reduce costs, increase prices, or boost promotion.
- [An] Pricing decisions: PM can model different ticket prices to see how break-even changes. [An] If price is raised to \$14, contribution becomes \$10 and break-even falls to 240 customers. This helps decide optimal pricing.
- [An] Assessing risk via margin of safety: If PM expects 400 customers, margin of safety is 100. [An] This means attendance can fall by up to 100 before a loss is made, showing relatively low risk

for this event.

### **Total Costs Calculation (Case Study - Gold Theme Park Nov 2023 P22)**

Q: GT has fixed costs of \$840,000. Variable cost per visitor is \$6. Calculate total costs if 180,000 visitors attend. [3]

A:

- [Calc] Total variable costs =  $180,000 \times \$6 = \$1,080,000$
- [Calc] Total costs = Fixed costs + Total variable costs =  $\$840,000 + \$1,080,000 = \$1,920,000$

### **Fixed Costs Calculation (Case Study - Bear Bears Nov 2023 P22)**

Q: BB sells teddy bears for \$25 each. Variable cost per bear is \$10. BB sold 4,000 bears and made a profit of \$20,000. Calculate the fixed costs. [3]

A:

- [Calc] Total revenue =  $4,000 \times \$25 = \$100,000$
- [Calc] Total variable costs =  $4,000 \times \$10 = \$40,000$
- [Calc] Profit = Total revenue - Total variable costs - Fixed costs
- [Calc]  $\$20,000 = \$100,000 - \$40,000 - \text{Fixed costs}$
- [Calc] Fixed costs =  $\$100,000 - \$40,000 - \$20,000 = \$40,000$

### **Break-Even for Bicycle Manufacturer (June 2023 P13 Q5b)**

Q: Evaluate the usefulness of break-even analysis for a bicycle manufacturer. [11]

A:

- [K] Break-even analysis calculates the level of output at which total costs equal total revenue.
- [An] FOR: Helps the manufacturer decide whether to introduce a new model. [An] By calculating break-even for the new bicycle, management can assess whether forecast demand exceeds the break-even point, supporting go/no-go investment decisions.
- [An] FOR: Helps set production targets and assess the impact of cost changes. [An] If component costs rise, the new break-even point shows how many more bicycles must be sold, informing pricing or cost-cutting decisions.
- [An] AGAINST: However, a bicycle manufacturer likely produces multiple models at different prices. [An] Break-even analysis works best for single products with one price - for a multi-product business, it oversimplifies by assuming a single average price and cost.
- [An] AGAINST: Assumes all bicycles produced are sold. [An] In reality, some may remain unsold (seasonal demand, fashion changes), meaning actual results differ from break-even predictions.
- [Ev] JUDGEMENT: Break-even analysis is a useful starting point for decision-making but should not be relied upon alone. For a bicycle manufacturer with multiple products and varying demand, it provides an approximate guide rather than precise prediction. It is most useful when combined with market research, cash flow forecasting, and sensitivity analysis.

### **Total Cost Calculation (Case Study - Benjamin's Beds March 2022 P21)**

Q: BB produces 500 beds per month. Fixed costs are \$40,000. Variable cost per bed is \$120. Calculate total cost per month. [2]

A:

- [Calc] Total variable costs =  $500 \times \$120 = \$60,000$
- [Calc] Total costs = Fixed costs + Total variable costs =  $\$40,000 + \$60,000 = \$100,000$

### **Profit Calculation (Case Study - Farm Produce June 2022 P22)**

Q: FP sells 10,000 boxes at \$8 each. Variable cost per box is \$3. Fixed costs are \$30,000. Calculate profit. [3]

A:

- [Calc] Total revenue =  $10,000 \times \$8 = \$80,000$
- [Calc] Total variable costs =  $10,000 \times \$3 = \$30,000$
- [Calc] Profit = Revenue - Variable costs - Fixed costs =  $\$80,000 - \$30,000 - \$30,000 = \$20,000$

### **Margin of Safety Calculation (Case Study - Seaside Hotel June 2022 P22)**

Q: SH break-even is 5,000 room nights. Current sales are 7,000 room nights. Calculate the margin of safety. [2]

A:

- [Calc] Margin of safety = Current output - Break-even output =  $7,000 - 5,000 = 2,000$  room nights
- [An] This means SH can afford a fall of up to 2,000 room nights (about 29%) before making a loss.

### **Profit Margin Calculation (Case Study - Move Well Nov 2022 P21)**

Q: MW has revenue of \$200,000 and profit of \$30,000. Calculate the profit margin. [2]

A:

- [Calc] Profit margin =  $(\text{Profit} / \text{Revenue}) \times 100 = (\$30,000 / \$200,000) \times 100 = 15\%$
- [An] This means MW keeps 15 cents as profit from every dollar of sales revenue.

### **Closing Balance Calculation (Case Study - Office Furniture Designs June 2023 P22)**

Q: OFD has an opening balance of \$3,000, total inflows of \$18,000, and total outflows of \$19,500. Calculate the closing balance. [2]

A:

- [Calc] Net cash flow = Total inflows - Total outflows =  $\$18,000 - \$19,500 = -\$1,500$
- [Calc] Closing balance = Opening balance + Net cash flow =  $\$3,000 + (-\$1,500) = \$1,500$

### **Cost Information for Restaurant Success (March 2023 P12 Q5b)**

Q: Evaluate the importance of accurate cost information for the success of a new restaurant. [11]

A:

- [K] Cost information includes knowledge of fixed costs (rent, salaries, insurance) and variable costs (ingredients, energy per meal served).
- [An] FOR: Accurate cost information enables correct menu pricing. [App] A restaurant must price dishes above their cost to make profit. [An] Without knowing the exact ingredient and labour cost per

dish, prices may be set too low (making losses) or too high (losing customers to competitors).

- [An] FOR: Enables break-even analysis. [An] The owner can calculate how many covers (meals) must be served daily/weekly to cover costs, setting realistic targets for staff and informing marketing spend decisions.
- [An] FOR: Controls waste and inefficiency. [An] By tracking costs per dish, the restaurant can identify where waste occurs (e.g., expensive ingredients spoiling), take corrective action, and improve profitability.
- [An] AGAINST: However, cost information alone does not guarantee success. [An] A restaurant could have perfect cost control but fail because of poor location, bad food quality, weak marketing, or strong competition. Demand-side factors are equally or more important.
- [An] AGAINST: Costs constantly change (ingredient prices, energy costs, wage rates), so cost information quickly becomes outdated. [An] The business must continuously update its information, which is time-consuming for a small restaurant owner already managing multiple roles.
- [Ev] JUDGEMENT: Accurate cost information is essential but not sufficient for restaurant success. It enables profitable pricing and cost control, which are necessary conditions for survival. However, success also requires quality food, good service, effective marketing, and suitable location. Cost information is a foundation upon which other success factors are built.

### **Accurate Cost Information Uses (Short Answers)**

Q: Explain two uses of accurate cost information for a business. [4]

A:

- [An] Pricing decisions: Accurate cost data ensures prices are set above cost to generate profit. [An] Without this, a business may unknowingly sell products at a loss, particularly if variable costs have increased without being tracked.
- [An] Budgeting and forecasting: Accurate costs enable realistic budgets and cash flow forecasts. [An] This helps secure finance (banks require reliable projections), set spending limits for departments, and identify variances early so corrective action can be taken.

### **Cost Information Evaluation (Case Study - Plasshape Nov 2023 P21)**

Q: Explain how PS could use cost information when making decisions. [4]

A:

- [App/An] Setting prices for plastic products: Knowing the exact material, energy, and labour cost per product ensures PS sets prices that cover costs and generate profit. [An] For different products (varying complexity/size), different costs apply, so each must be individually priced based on accurate cost data.
- [App/An] Deciding whether to accept special orders: If a customer offers a lower price for a bulk order, PS can assess whether the price exceeds variable cost (making a positive contribution). [An] This contribution costing approach means PS can profitably accept orders above variable cost even if below normal price, as long as there is spare capacity.

### **Fixed Cost Allocation Problem (Case Study - Farm Produce June 2022 P22)**

Q: Explain one problem of allocating fixed costs to individual products. [3]

A:

- [K] Fixed cost allocation means dividing shared overhead costs among different products or

departments.

- [An] The allocation method chosen is often arbitrary (e.g., based on floor space, labour hours, or sales value), and different methods give different results. [An] This means a product might appear profitable under one allocation method but unprofitable under another. This can lead to incorrect decisions such as dropping a product that actually makes a positive contribution to fixed costs.

## 8. CASH FLOW FORECASTING

Forecasts, budgets, improving cash flow.

### Cash Flow Forecast Benefits (Nov 2022 P11 Q7a)

Q: Explain two benefits of preparing a cash flow forecast. [4]

A:

- [K] A cash flow forecast is a prediction of all expected money coming into and going out of a business over a future period.
- [An] Benefit 1 - Identifies potential shortfalls in advance: By forecasting when outflows will exceed inflows, the business can arrange finance (overdraft, loan) before the cash shortage occurs. [An] Without this foresight, the business might suddenly be unable to pay suppliers or staff, causing a crisis.
- [An] Benefit 2 - Supports applications for finance: Banks and investors require cash flow forecasts before lending. [An] A well-prepared forecast demonstrates that the business has planned carefully, understands its financial needs, and can afford repayments, increasing the chance of securing funding on favourable terms.

### Cash Flow Forecast Purposes (June 2023 P13 Q5a)

Q: Explain two purposes of a cash flow forecast for a new business. [4]

A:

- [An] Purpose 1 - Planning: Shows the entrepreneur how much start-up capital is needed and when additional finance will be required. [An] This prevents the common mistake of underestimating cash needs, which causes many new businesses to fail within the first year.
- [An] Purpose 2 - Monitoring and control: Once trading begins, actual cash flows can be compared to the forecast. [An] Significant differences highlight problems (lower-than-expected sales, higher costs) early, allowing corrective action before the situation becomes critical.

### Cash vs Profit (Case Study - Priya's Bookshop June 2022 P21)

Q: Explain the difference between cash and profit. [3]

A:

- [K] Cash is the actual money available to the business at any point in time - money in the bank account and in hand.
- [K] Profit is the surplus of total revenue over total costs over a period (revenue minus all expenses).
- [An] A business can be profitable but have no cash (e.g., if customers owe money/trade receivables, or if profit has been spent on assets). Conversely, a loss-making business may temporarily have cash (from a loan or selling assets). Cash pays bills; profit is an accounting

concept.

### **Cash Flow Forecast Calculation (Case Study - Priya's Bookshop June 2022 P21)**

Q: PB has opening balance \$2,000, cash inflows \$8,500, cash outflows \$9,200. Calculate the closing balance. [2]

A:

- [Calc] Net cash flow =  $\$8,500 - \$9,200 = -\$700$
- [Calc] Closing balance =  $\$2,000 + (-\$700) = \$1,300$

### **Benefits of Cash Flow Forecast (Case Study - Priya's Bookshop June 2022 P21)**

Q: Explain two benefits of a cash flow forecast for PB. [4]

A:

- [An] Identifies when overdraft/finance will be needed: If PB forecasts a negative closing balance in certain months (e.g., after buying new stock), Priya can arrange overdraft facilities in advance. [An] This prevents the embarrassment and damage of bounced payments or inability to restock.
- [An] Helps plan stock purchases: By seeing when cash is available, Priya can time bulk book purchases for months with positive cash flow. [An] This avoids paying interest on borrowed money for stock purchases and ensures the shop remains well-stocked during peak periods.

### **Cash Flow Forecast Calculation (Case Study - Great Desks June 2023 P23)**

Q: GD has opening balance \$5,500, total inflows \$12,000, wages \$4,000, materials \$6,500, other costs \$2,800. Calculate closing balance. [3]

A:

- [Calc] Total outflows =  $\$4,000 + \$6,500 + \$2,800 = \$13,300$
- [Calc] Net cash flow =  $\$12,000 - \$13,300 = -\$1,300$
- [Calc] Closing balance =  $\$5,500 + (-\$1,300) = \$4,200$

### **Closing Balance Calculation (Case Study - Jake's Cakes Nov 2023 P23)**

Q: JC opening balance = \$800. Inflows = \$3,200. Outflows: ingredients \$1,400, rent \$600, wages \$900, other \$450. Calculate closing balance. [3]

A:

- [Calc] Total outflows =  $\$1,400 + \$600 + \$900 + \$450 = \$3,350$
- [Calc] Net cash flow =  $\$3,200 - \$3,350 = -\$150$
- [Calc] Closing balance =  $\$800 + (-\$150) = \$650$

### **Improving Cash Flow (Short Answers)**

Q: Explain three methods a business could use to improve its cash flow. [6]

A:

- [An] Reduce trade receivables period: Offer early payment discounts or tighten credit terms to get

customers to pay faster. [An] This brings cash into the business sooner, reducing the gap between spending on production and receiving payment. However, tighter terms may lose some customers.

- [An] Delay payments to suppliers: Negotiate longer payment terms (e.g., 60 days instead of 30). [An] This keeps cash in the business longer, improving the cash position. However, this may damage supplier relationships or lose early payment discounts.
- [An] Reduce inventory levels: Hold less stock to free up cash tied up in unsold goods. [An] Adopting JIT reduces the cash invested in inventory. However, this risks stockouts if demand is unexpectedly high or deliveries are delayed.
- [An] Sale and leaseback: Sell owned assets and lease them back. [An] This immediately releases a large lump sum while continuing to use the asset. However, the business loses ownership and faces ongoing lease costs.

### **Improving Cash Flow (Case Study - Move Well Nov 2022 P21)**

Q: Explain two ways MW could improve its cash flow. [4]

A:

- [App/An] Require upfront payment or deposits from customers: Instead of allowing credit, MW could require full or partial payment when services are booked. [An] This brings cash in earlier, reducing the gap between delivering services and receiving payment, preventing cash shortfalls.
- [App/An] Negotiate better terms with suppliers: MW could negotiate longer payment periods for equipment or supplies. [An] This delays cash going out while still receiving goods/services on time, improving the net cash position each month.

### **Budgets for Farming Business (June 2024 P11 Q6b)**

Q: Evaluate the usefulness of budgets for a farming business. [11]

A:

- [K] A budget is a financial plan for a future period, setting out expected income and expenditure, used for planning, coordination, and control.
- [An] FOR: Budgets help farmers plan for seasonal fluctuations. [App] Farming has very seasonal income (harvest) but year-round costs (animal feed, fertiliser, wages). [An] A budget shows when cash will be tight, allowing the farmer to arrange finance in advance rather than facing unexpected shortfalls.
- [An] FOR: Enables cost control by setting spending limits for different activities (fertiliser, seed, labour). [An] Comparing actual spending to budget identifies overspending early, allowing corrective action before financial problems develop.
- [An] FOR: Supports loan applications. [An] Banks require evidence of financial planning before lending for expensive farming equipment or land. A detailed budget demonstrates the farmer understands their finances and can afford repayments.
- [An] AGAINST: However, farming is highly unpredictable. [An] Weather, disease, market prices, and government policy changes can make budgets inaccurate quickly. A drought could halve yields, making an optimistic budget meaningless and potentially misleading.
- [An] AGAINST: Budgets are time-consuming to prepare and maintain. [An] A farmer already managing multiple activities (crops, livestock, machinery) may lack time for detailed financial planning, and the cost of professional accountancy advice may be prohibitive for a small farm.
- [Ev] JUDGEMENT: Budgets are useful for farming businesses as a planning framework and for securing finance. However, they must be flexible enough to accommodate the inherent unpredictability of agriculture. Zero-based or flexible budgeting approaches may be more appropriate

than rigid incremental budgets. The key is using budgets as guides rather than fixed plans.

## **Cash Flow Forecasting for New Restaurant (March 2023 P12 Q5)**

Q: Evaluate the importance of cash flow forecasting for a new restaurant. [11]

A:

- [K] A cash flow forecast predicts money flowing in and out over future months.
- [An] FOR: Essential for securing start-up finance. [App] A new restaurant needs significant investment (equipment, fitting out, initial stock, deposits) before any revenue is generated. [An] Banks will not lend without seeing a cash flow forecast showing how and when the loan will be repaid.
- [An] FOR: Identifies the critical early months when outflows exceed inflows. [An] Most restaurants take months to build a customer base. The forecast shows how much working capital is needed to survive this period, preventing the owner from underestimating start-up funding needs.
- [An] FOR: Helps plan seasonal patterns. [An] Restaurants often experience quiet periods (January, weekdays). Forecasting these allows advance planning for reduced staff hours or promotional activities.
- [An] AGAINST: However, forecasts for new businesses are inherently unreliable because there is no trading history. [An] Estimates of customer numbers, average spend, and food costs are guesses based on limited information. The forecast may give false confidence if assumptions are overly optimistic.
- [Ev] JUDGEMENT: Cash flow forecasting is critically important for a new restaurant - it is probably the single most important financial planning tool at start-up. However, it must be based on realistic, conservative assumptions, updated frequently as actual data becomes available, and treated as a living document rather than a one-off exercise.

## **9. HUMAN RESOURCE MANAGEMENT**

Recruitment, job descriptions, person specifications, training, dismissal, labour turnover, workforce planning, trade unions.

### **CSR and HRM (Short Answers)**

Q: Explain how CSR relates to human resource management. [3]

A:

- [K] Corporate Social Responsibility (CSR) means a business accepts responsibility for its impact on society and the environment beyond legal requirements.
- [An] In HRM, CSR includes paying fair wages (above minimum), providing safe conditions, promoting diversity and equality, offering work-life balance, and investing in employee development. [An] Businesses with strong CSR in HRM attract better candidates, retain staff longer, and build a positive employer brand.

### **Person Specification (Short Answers)**

Q: Define a person specification and explain its purpose. [3]

A:

- [K] A person specification is a document that describes the ideal candidate for a job role, listing the

qualifications, skills, experience, and personal attributes required.

- [An] Purpose: It provides objective criteria for shortlisting and selecting candidates, ensuring the recruitment process is fair, consistent, and focused on finding the best match for the role. It helps avoid discrimination by focusing on job-relevant criteria.

### **Person Specification Advantage (20-mark set)**

Q: Explain one advantage of using a person specification in recruitment. [2]

A:

- [An] Provides clear, objective criteria for comparing candidates. [An] This ensures selection decisions are based on relevant qualifications and skills rather than personal bias, improving the quality of hiring decisions and reducing the risk of discrimination claims.

### **Job Description (Short Answers)**

Q: Define a job description and state three things it would contain. [4]

A:

- [K] A job description is a document that outlines the duties, responsibilities, and requirements of a specific job role.
- [K] Contents include: job title, reporting structure (who the person reports to), main duties and responsibilities, working hours and location, salary range, and any special conditions or requirements.

### **Induction Training (Short Answers)**

Q: Define induction training and explain one benefit. [3]

A:

- [K] Induction training is the initial training given to new employees when they first join a business, introducing them to the organisation, its policies, their role, and colleagues.
- [An] Benefit: New employees become productive more quickly because they understand procedures, safety rules, and their specific duties from day one. [An] This reduces mistakes, improves confidence, and helps new staff feel welcome, reducing early-stage turnover.

### **Induction Training Benefits (Case Study - Office Furniture Designs June 2023 P22)**

Q: Explain two benefits of induction training for OFD. [4]

A:

- [App/An] Faster productivity: New furniture makers learn OFD specific processes, quality standards, and equipment from the start. [An] Without induction, they might use wrong techniques, waste materials, or produce sub-standard furniture that needs reworking, costing time and money.
- [App/An] Health and safety compliance: Furniture production involves dangerous machinery (saws, drills). [An] Proper induction ensures workers know safety procedures immediately, reducing accident risk, potential injury claims, and downtime from workplace injuries.

### **Training Benefits (Short Answers)**

Q: Explain two benefits to a business of training its employees. [4]

A:

- [An] Improved productivity: Well-trained employees work faster, make fewer mistakes, and produce higher quality output. [An] This increases efficiency, reduces waste and rework costs, and improves customer satisfaction through better products/service.
- [An] Improved motivation and retention: Employees who receive training feel valued and can see career development opportunities. [An] This increases job satisfaction, reduces labour turnover, and saves recruitment/training costs for replacements. According to Herzberg, development is a motivating factor.

### **Training Advantages (Case Study - Pop-up Movies Nov 2022 P23)**

Q: Explain two advantages of training staff for PM. [4]

A:

- [App/An] Better customer service: Trained staff at pop-up cinema events can handle customer queries, manage queues efficiently, and resolve problems professionally. [An] This improves the customer experience, leading to positive reviews, word-of-mouth recommendations, and repeat bookings.
- [App/An] Safer events: Staff trained in health and safety, crowd management, and emergency procedures ensure events run safely. [An] This reduces the risk of accidents, potential legal claims, and reputational damage that could shut down the business.

### **Dismissal (Short Answers)**

Q: Define dismissal and distinguish between fair and unfair dismissal. [3]

A:

- [K] Dismissal is when an employer terminates an employee contract of employment, ending their job.
- [K] Fair dismissal is for legitimate reasons (misconduct, poor performance despite support, redundancy, legal restrictions). Proper procedures must be followed.
- [K] Unfair dismissal is when an employee is dismissed without valid reason or without following proper procedures. It may be due to discrimination, pregnancy, trade union membership, or whistleblowing. The employee can take legal action for compensation.

### **Labour Turnover (20-mark set)**

Q: Define labour turnover and explain why it matters. [3]

A:

- [K] Labour turnover is the percentage of employees leaving a business over a given period.  
Formula:  $(\text{Number leaving} / \text{Average number employed}) \times 100$ .
- [An] High labour turnover is costly because it requires constant recruitment, selection, and training of replacements. It can also indicate low morale, poor working conditions, or weak management, and disrupts team cohesion and productivity.

### **Low Labour Turnover Benefits (June 2024 P12 Q6a)**

Q: Explain two benefits of low labour turnover for a bus service company. [4]

A:

- [App/An] Reduced recruitment and training costs: Bus drivers require expensive training (licence, routes, customer service). [An] Low turnover means these investments are retained within the business rather than constantly spent on new recruits, reducing costs and improving profitability.
- [App/An] Experienced workforce: Long-serving drivers know routes, regular passengers, and procedures thoroughly. [An] This improves service reliability, customer satisfaction, and safety. Experienced drivers are less likely to have accidents and better able to handle unexpected situations (diversions, difficult passengers).

### **Labour Turnover Calculation (Case Study - Fretter's Music June 2023 P23)**

Q: FM employed an average of 80 staff during the year. 12 employees left. Calculate labour turnover. [2]

A:

- [Calc] Labour turnover = (Number leaving / Average number employed) x 100 = (12 / 80) x 100 = 15%

### **Reducing Labour Turnover (Case Study - Fretter's Music June 2023 P23)**

Q: Explain two ways FM could reduce its labour turnover. [4]

A:

- [An] Improve pay and benefits: Offering competitive wages and benefits (staff discounts on musical instruments, commission) makes employees less likely to leave for competitors. [An] If FM pays below market rate, skilled staff will move to better-paying music retailers.
- [An] Provide career development: Offering training (product knowledge, music qualifications) and promotion opportunities gives staff reasons to stay long-term. [An] Employees who can see a future career path within FM are less likely to seek opportunities elsewhere.

### **Workforce Plan (20-mark set)**

Q: Define a workforce plan and explain its purpose. [3]

A:

- [K] A workforce plan is a document that assesses the current workforce (skills, numbers, age profile) and plans for future labour needs based on business objectives.
- [An] Purpose: Ensures the business has the right number of people with the right skills in the right place at the right time. It identifies gaps between current and future needs, planning for recruitment, training, redeployment, or redundancy as needed.

### **Internal Recruitment (20-mark set)**

Q: Explain one advantage of internal recruitment. [2]

A:

- [An] The candidate is already known to the business - their performance, reliability, and cultural fit have been observed. [An] This reduces the risk of a bad hire compared to external candidates who may appear strong at interview but prove unsuitable in practice.

### **External Recruitment Reasons (Nov 2024 P13 Q6a)**

Q: Explain two reasons why a hospital might use external recruitment. [4]

A:

- [App/An] Need for specialist skills not available internally: Hospitals require highly qualified specialists (surgeons, consultants, anaesthetists) with specific qualifications and experience. [An] Internal staff may not have the necessary medical qualifications or specialisms, making external recruitment essential to fill specialist positions.
- [App/An] Fresh perspectives and innovation: External recruits bring new ideas, different experiences from other hospitals, and awareness of best practices elsewhere. [An] This prevents the organisation becoming stagnant and helps improve patient care through new techniques and approaches learned at other institutions.

### **External Recruitment Benefits (June 2023 P13 Q6a)**

Q: Explain two benefits of external recruitment for a low-price airline. [4]

A:

- [App/An] Wider pool of candidates: External recruitment accesses all available talent, not just existing employees. [An] For a growing airline needing many pilots, cabin crew, and ground staff, internal recruitment alone cannot provide sufficient numbers, making external recruitment essential for expansion.
- [App/An] New skills and experience from competitors: Recruiting staff from other airlines brings valuable industry knowledge, training, and customer service approaches. [An] This can improve the airline operations without the time and cost of developing these skills internally from scratch.

### **Trade Union Impact (20-mark set)**

Q: Explain two ways a trade union might impact a business. [4]

A:

- [K] A trade union is an organisation of workers that collectively bargains with employers over pay, conditions, and workplace issues.
- [An] Impact 1 - Higher labour costs: Unions negotiate collectively for higher wages and better benefits than individual workers might achieve alone. [An] This increases costs for the business, potentially reducing profit or requiring higher prices that reduce competitiveness.
- [An] Impact 2 - Improved communication: Unions provide a formal channel for employee concerns to reach management. [An] This can actually benefit the business by identifying problems early, reducing individual grievances, and creating a more stable workforce with lower turnover. However, it also means management must consult and negotiate rather than impose changes unilaterally.

### **Managers' Contribution in Hospital (Nov 2024 P13 Q6b)**

Q: Evaluate how managers contribute to the success of a hospital. [11]

A:

- [K] Managers plan, organise, direct, and control the activities of the hospital to achieve its objectives (patient care, efficiency, financial viability).
- [An] FOR: Effective resource allocation: Hospital managers ensure limited resources (beds, staff, equipment, budgets) are allocated where most needed. [An] Good management means shorter

waiting times, appropriate staffing levels, and efficient use of expensive medical equipment, directly improving patient outcomes.

- [An] FOR: Staff coordination and motivation: Managers coordinate large, diverse teams (doctors, nurses, administrators, cleaners). [An] Good management creates clear communication, resolves conflicts, ensures training, and motivates staff, leading to better teamwork and patient care.
- [An] FOR: Strategic planning: Managers plan for future needs (ageing population, new treatments, facility upgrades). [An] Without forward planning, the hospital would be unable to adapt to changing healthcare demands and government requirements.
- [An] AGAINST: However, excessive management layers can create bureaucracy that slows clinical decisions. [An] Doctors and nurses may feel constrained by management targets that focus on cost reduction rather than patient care. Over-management can demotivate clinical professionals.
- [An] AGAINST: Management costs consume resources that could fund frontline patient care. [An] Every dollar spent on management salaries is a dollar not spent on nurses, equipment, or treatments.
- [Ev] JUDGEMENT: Good management is essential for hospital success - healthcare is too complex and resource-constrained to operate without coordination and planning. However, the management approach must be appropriate: clinical professionals need autonomy within a managed framework, and management should support rather than obstruct patient care. The best hospital managers combine business skills with understanding of healthcare priorities.

## **Recruitment Recommendation (Case Study - Cartoon Costumes Nov 2022 P22)**

Q: Recommend the best method of recruitment for CC to hire a new costume designer. [6]

A:

- [K] Recruitment methods include internal promotion, external advertising, recruitment agencies, social media, and industry networking.
- [App/An] External recruitment is likely best because CC needs specialist creative skills (costume design) that may not exist among current staff. [An] Advertising on specialist design job boards or fashion industry platforms targets candidates with relevant qualifications and portfolio.
- [App/An] However, if an existing employee shows design talent, internal recruitment saves cost and time, and the person already understands the brand, culture, and production processes. [An] This reduces the risk of a poor cultural fit.
- [Ev] Recommendation: External recruitment through specialist creative platforms is most appropriate because costume design requires specific artistic skills that are unlikely to be developed through internal training alone. CC should look for candidates with relevant design qualifications and portfolio evidence. However, using a recruitment agency specialising in creative roles, while more expensive, would handle shortlisting and save management time.

## **10. MOTIVATION**

Maslow, Herzberg, McClelland, McGregor Theory X/Y, financial methods, non-financial methods, work-life balance.

### **Motivation Definition (20-mark set)**

Q: Define motivation. [2]

A:

- [K] Motivation is the internal desire or willingness of an employee to work hard and perform well. It is the drive that makes people put in effort, commitment, and energy towards achieving goals at work.

### **PRP - Performance Related Pay (20-mark set)**

Q: Define performance-related pay (PRP) and explain one advantage. [3]

A:

- [K] PRP is a financial reward system where employees receive a bonus or salary increase based on achieving specific performance targets or appraisal outcomes.
- [An] Advantage: Directly links reward to individual effort and achievement, motivating employees to work harder to earn the bonus. [An] This aligns employee interests with business objectives, as employees only receive extra pay when they contribute to business goals (e.g., meeting sales targets, improving quality).

### **Commission (20-mark set)**

Q: Define commission as a payment method. [2]

A:

- [K] Commission is a payment made to an employee based on the value or quantity of sales they make, either as a percentage of sales value or a fixed amount per sale. It can be the sole payment or added to a basic salary.

### **Empowerment (20-mark set)**

Q: Define empowerment and explain how it motivates. [3]

A:

- [K] Empowerment means giving employees the authority, responsibility, and freedom to make decisions about their own work without needing management approval.
- [An] It motivates because employees feel trusted and valued, satisfying higher-order needs (Maslow: esteem and self-actualisation; Herzberg: responsibility as a motivator). [An] Workers who control their own work take more pride in outcomes and feel greater job satisfaction.

### **Piece Rate (20-mark set)**

Q: Define piece rate payment and give one disadvantage. [3]

A:

- [K] Piece rate is a payment system where workers are paid a fixed amount for each unit/item they produce, rather than being paid by time worked.
- [An] Disadvantage: Workers may rush to produce more units, sacrificing quality for quantity. [An] This can lead to higher defect rates, customer complaints, and waste, ultimately costing the business more in returns and rework than is saved on labour costs.

### **Time-Based Payment (20-mark set)**

Q: Define time-based payment. [2]

A:

- [K] Time-based payment means employees are paid a fixed amount for each hour, day, week, or month worked, regardless of how much output they produce. Examples include hourly wages and monthly salaries.

### **Piece Rate vs Time-Based Calculation (Case Study - Fruit Farm March 2023 P22)**

Q: FF pays pickers \$0.50 per box. Worker A picks 120 boxes in a day. Calculate pay. If time-based pay is \$8/hour for 8 hours, which is better for Worker A? [4]

A:

- [Calc] Piece rate pay =  $120 \times \$0.50 = \$60$  per day
- [Calc] Time-based pay =  $\$8 \times 8 \text{ hours} = \$64$  per day
- [An] Worker A would earn \$4 more per day under time-based payment (\$64 vs \$60). However, a faster worker might prefer piece rate if they can pick more boxes.

### **Time-Based Payment Advantage (Case Study - Fruit Farm March 2023 P22)**

Q: Explain one advantage to FF of using time-based payment for farm workers. [3]

A:

- [An] Predictable labour costs: FF knows exactly what wages will be each week (hours x rate), making budgeting and cash flow forecasting easier. [An] With piece rate, wage costs vary with output, making financial planning more difficult and potentially causing cash flow problems in productive weeks.
- [An] Quality maintenance: Workers paid by time have no incentive to rush. [An] For a farm, this means fruit/vegetables are picked carefully without damage, maintaining product quality and reducing waste from bruised or damaged produce.

### **Human Needs Not Satisfied at Work (Nov 2024 P11 Q6a)**

Q: Explain two human needs that might not be satisfied at work, using Maslow's hierarchy. [4]

A:

- [K] Maslow hierarchy identifies five levels of need: physiological, safety, social, esteem, and self-actualisation.
- [An] Social needs: If an employee works in isolation (e.g., night security guard, remote worker), their need for belonging, friendship, and team interaction may not be met. [An] This leads to loneliness, low morale, and potentially poor mental health, reducing motivation and increasing absenteeism.
- [An] Self-actualisation: Routine, repetitive jobs (assembly line, data entry) may not allow employees to reach their full potential, be creative, or develop new skills. [An] According to Maslow, once lower needs are met, employees seek personal growth and fulfilment. Without this, they become dissatisfied and look for more challenging roles elsewhere.

### **Non-Financial Motivators in Hotel (Nov 2024 P11 Q6b)**

Q: Evaluate the use of non-financial motivators for hotel employees. [11]

A:

- [K] Non-financial motivators include job enrichment, teamwork, recognition, empowerment, training, and flexible working.
- [An] FOR: Job enrichment (giving hotel staff more varied, challenging tasks). [App] A receptionist could also handle guest complaints, recommend local attractions, and contribute to service improvements. [An] According to Herzberg, this addresses motivating factors (responsibility, achievement, recognition), creating genuine job satisfaction rather than just preventing dissatisfaction.
- [An] FOR: Recognition and praise. [App] Hotel employees who receive "Employee of the Month" awards or positive guest feedback recognition feel valued. [An] This satisfies esteem needs (Maslow) at minimal cost and creates a culture where excellent service is celebrated.
- [An] FOR: Teamwork. [App] Hotels require many departments to coordinate (housekeeping, front desk, restaurant, maintenance). [An] Building strong teams satisfies social needs, creates mutual support, and improves service consistency as team members help each other during busy periods.
- [An] AGAINST: However, hotel work often involves long hours, low pay, and physically demanding tasks. [An] If basic pay is below a living wage, non-financial motivators alone will not retain staff. According to Herzberg, pay is a hygiene factor - it must be adequate before motivators become effective.
- [An] AGAINST: Some hotel staff (seasonal, temporary) may only respond to financial incentives. [An] Short-term workers may not benefit from career development or team-building if they plan to leave within months.
- [Ev] JUDGEMENT: Non-financial motivators are effective for hotel employees, particularly in creating a service culture and building long-term commitment. However, they must be built on a foundation of fair pay and reasonable working conditions. The most effective approach combines adequate financial reward (hygiene factors) with meaningful non-financial motivators (enrichment, recognition, development). The balance depends on the specific role, employee tenure, and individual needs.

## **Leaders vs Managers (Nov 2022 P12 Q6)**

Q: Evaluate the importance of leaders compared to managers in an international hotel chain. [11]

A:

- [K] Managers plan, organise, and control day-to-day operations. Leaders inspire, motivate, and set direction/vision.
- [An] Leaders are important because: In a service industry like hotels, staff attitude directly affects customer experience. [An] Leaders who inspire a service culture, set high standards, and motivate through vision and values create teams that deliver exceptional guest experiences, building brand reputation and loyalty.
- [An] Leaders drive change: International hotel chains must adapt to different markets, cultures, and customer expectations. [An] Leaders who can communicate a compelling vision and inspire staff through change are essential for successful expansion, rebranding, or service improvements.
- [An] Managers are important because: Hotels have complex daily operations (bookings, housekeeping, food service, maintenance) that require meticulous planning and coordination. [An] Without effective management, rooms are not ready, food orders go wrong, and maintenance issues are not addressed - all directly harming customer satisfaction.
- [An] Managers ensure consistency: An international chain needs consistent standards across all locations. [An] Managers implementing systems, monitoring performance against targets, and controlling quality ensure a guest in London receives the same standard as one in Tokyo.

- [Ev] JUDGEMENT: Both are essential but at different levels. Leaders are critical at senior/strategic levels to set direction and culture across the chain. Managers are critical at operational level to execute the vision daily. In practice, the best hotel general managers combine both - leading their teams with vision while managing operations effectively. The relative importance depends on the situation: during expansion/change, leadership dominates; during stable operations, management systems are key.

## **McClelland's Theory in Software Business (Nov 2023 P11 Q6b)**

Q: Evaluate the usefulness of McClelland's motivational needs theory for a software business. [11]

A:

- [K] McClelland identified three motivational needs: Achievement (need to excel and succeed), Affiliation (need for belonging and relationships), and Power (need to influence and control others).
- [An] FOR - Achievement need: Software developers often have high achievement motivation - they want to solve complex problems, create innovative code, and complete challenging projects. [An] Managers can motivate by setting challenging technical goals, providing feedback on performance, and recognising individual achievements through code quality awards or patent recognition.
- [An] FOR - Helps with role allocation: Understanding different needs helps assign people to suitable roles. [An] High-achievement programmers suit challenging development projects; high-affiliation people suit collaborative team roles or client relationships; high-power individuals suit project management or team leadership positions.
- [An] AGAINST: However, the theory oversimplifies motivation into three categories. [An] Software workers may also be motivated by financial rewards (stock options), work-life balance, learning new technologies, or working on meaningful projects - factors McClelland does not fully address.
- [An] AGAINST: Needs are difficult to identify and may change over time. [An] A junior developer focused on achievement may shift towards power needs as they gain experience and seek leadership roles. Applying the theory rigidly can lead to incorrect assumptions about what motivates individuals.
- [Ev] JUDGEMENT: McClelland theory is reasonably useful for a software business because the industry attracts high-achievement individuals whose needs can be addressed through challenging work and recognition. However, it should be used alongside other approaches (Herzberg for hygiene factors, practical measures like competitive pay and flexible working) to create a comprehensive motivation strategy. No single theory explains all motivation.

## **Employee Participation (Nov 2023 P11 Q6a)**

Q: Explain two benefits of employee participation for a software business. [4]

A:

- [K] Employee participation means involving workers in decision-making processes that affect their work and the business.
- [An] Better decisions: Software developers have specialist technical knowledge that managers may lack. [An] Including them in decisions about technology choices, project approaches, and timelines leads to more informed decisions that are technically feasible and realistic.
- [An] Increased motivation and commitment: When employees help make decisions, they feel ownership of outcomes. [An] They are more committed to implementing decisions they helped create, reducing resistance to change and increasing effort. This is particularly important in software where developer commitment directly affects code quality.

## **Self-Actualisation Methods (Nov 2023 P12 Q5a)**

Q: Explain two ways a hotel manager can help employees achieve self-actualisation. [4]

A:

- [K] Self-actualisation (Maslow highest need) means reaching one full potential, being creative, and achieving personal growth.
- [An] Providing challenging, varied roles: Allowing staff to develop new skills, take on projects outside their normal duties (e.g., a chef developing a new menu, a receptionist leading a customer service initiative). [An] This enables employees to stretch their abilities and feel they are growing professionally, fulfilling their potential.
- [An] Supporting personal development: Sponsoring professional qualifications, mentoring programmes, or allowing staff to lead training for others. [An] When employees see they can progress, learn, and contribute meaningfully beyond their basic job description, they experience the fulfilment of self-actualisation.

## **Motivating Others as Hotel Manager Role (Nov 2023 P12 Q5b)**

Q: Evaluate whether motivating others is the most important role of a hotel manager. [11]

A:

- [K] A manager has four key functions: planning, organising, directing (including motivating), and controlling.
- [An] FOR: In a service industry like hotels, employee attitude directly creates the customer experience. [An] Motivated staff provide excellent, enthusiastic service that creates satisfied guests, positive reviews, and repeat bookings. Demotivated staff provide poor service that damages the hotel reputation and revenue.
- [An] FOR: High staff turnover in hospitality is extremely costly. [An] Effective motivation (financial and non-financial) reduces turnover, saving recruitment and training costs while maintaining service consistency through experienced teams who know the hotel and regular guests.
- [An] AGAINST: However, planning is equally vital. [An] Without effective planning (staffing levels, budgets, marketing, maintenance schedules), even motivated staff cannot deliver good service if there are too few people on shift, equipment is broken, or rooms are double-booked.
- [An] AGAINST: Controlling (monitoring standards, managing budgets, ensuring compliance) is essential in a regulated industry. [An] A hotel that fails health inspections, exceeds budgets, or breaches fire safety regulations faces closure regardless of staff motivation.
- [Ev] JUDGEMENT: Motivating others is critically important but not THE most important role in isolation - it works alongside other management functions. In practice, motivating staff creates the conditions for excellent execution of plans and standards. The most effective hotel managers create a virtuous cycle: motivated staff deliver great service, which generates revenue, which funds investment, which creates opportunities for further motivation. All management functions are interdependent.

## **Work-Life Balance in Bus Service (June 2024 P12 Q6b)**

Q: Evaluate the importance of work-life balance for employees in a bus service company. [11]

A:

- [K] Work-life balance means having sufficient time for both work responsibilities and personal life (family, leisure, health).

- [An] FOR: Bus drivers work antisocial hours (early mornings, late evenings, weekends, holidays). [An] Poor work-life balance leads to fatigue, stress, and health problems. Tired drivers are a safety risk - falling asleep at the wheel or having slower reactions puts passengers and the public at danger.
- [An] FOR: Improved retention. [App] Bus driving is a skilled job requiring expensive training and licensing. [An] If work-life balance is poor, experienced drivers leave for better-balanced jobs. This creates constant recruitment costs and reduces service quality as new drivers learn routes.
- [An] FOR: Better customer service. [An] Well-rested, satisfied drivers are more patient, courteous, and helpful to passengers. This improves the company reputation and ridership numbers.
- [An] AGAINST: However, bus services must operate to timetable regardless of work-life balance preferences. [An] Early morning and late evening services are essential for commuters. The company cannot simply stop running services at antisocial hours to improve driver balance - it would lose customers and revenue.
- [An] AGAINST: Improving work-life balance (shorter shifts, more breaks, no split shifts) increases costs. [An] More drivers are needed to cover the same hours, increasing wage costs and potentially requiring higher fares that reduce demand.
- [Ev] JUDGEMENT: Work-life balance is very important in bus services due to safety implications and the difficulty of recruiting drivers. The company should invest in fair rotas, limit consecutive early/late shifts, and provide adequate rest periods. However, the nature of public transport means some antisocial working is unavoidable. Compensation through premium pay for unsocial hours and extra leave days can partially offset the work-life balance challenges. The key is managing it fairly rather than eliminating the challenge entirely.

## **Poor Work-Life Balance Impacts (Case Study - Custom Motorcycles Nov 2023 P23)**

Q: Explain two impacts on CM of employees having a poor work-life balance. [4]

A:

- [App/An] Higher labour turnover: Skilled motorcycle craftspeople who feel overworked and unable to enjoy personal time will seek employment elsewhere. [An] This means CM loses experienced workers who are difficult to replace, disrupting production quality and requiring expensive recruitment and training of replacements.
- [App/An] Reduced quality of work: Tired, stressed employees make more mistakes. [App] For custom motorcycle building, precision and attention to detail are essential for safety and quality. [An] Workers with poor work-life balance may produce lower-quality work, leading to defects, safety issues, and damage to CM reputation for quality craftsmanship.

## **11. MANAGEMENT & LEADERSHIP**

Leadership styles, management roles, cooperation, Theory X and Y.

### **Theory X Benefits (June 2024 P13 Q5a)**

Q: Explain two benefits of a Theory X management approach for a car manufacturer. [4]

A:

- [K] McGregor Theory X assumes workers are lazy, dislike work, avoid responsibility, and must be closely supervised and controlled with threats/incentives.

- [App/An] Clear targets and close supervision ensure consistent quality: In car manufacturing, precision and safety are critical. [An] A Theory X approach with strict quality checks, close monitoring, and clear consequences for errors ensures every vehicle meets safety standards. Any defect could cause accidents and massive recalls.
- [App/An] Efficient production through discipline: Assembly line work requires workers to complete repetitive tasks at a consistent pace. [An] Theory X management using piece rates, time targets, and supervision ensures production quotas are met, keeping the production line flowing without costly delays.

### **Cooperation in Car Manufacturer (June 2024 P13 Q5b)**

Q: Evaluate the importance of cooperation between departments in a car manufacturer. [11]

A:

- [K] Cooperation means departments working together towards shared objectives rather than pursuing conflicting goals.
- [An] FOR - Design and Production: If the design department creates a car that is difficult or expensive to manufacture, production costs rise and quality suffers. [An] Cooperation ensures designs are both attractive to customers AND feasible to manufacture efficiently, reducing costs and time-to-market.
- [An] FOR - Marketing and Production: Marketing must know production capacity to set realistic delivery promises to dealers. [An] Without cooperation, marketing might promise volumes that production cannot deliver, damaging dealer relationships and customer satisfaction. Equally, production needs market intelligence to plan output levels.
- [An] FOR - Finance and all departments: Finance must allocate budgets across departments effectively. [An] Cooperation ensures R&D receives enough for innovation while production gets enough for quality tooling. Without this, under-funded departments underperform, harming the whole business.
- [An] AGAINST: However, some competition between departments drives performance. [An] Departments competing for resources may work harder to justify their budgets through results. Too much cooperation without individual accountability can lead to diffusion of responsibility.
- [An] AGAINST: Coordination is costly and time-consuming. [An] Meetings, cross-functional teams, and communication systems all consume resources. For routine decisions, departmental autonomy may be more efficient than extensive consultation.
- [Ev] JUDGEMENT: Cooperation between departments is essential in car manufacturing because the product requires seamless integration of design, engineering, production, marketing, and finance. Poor cooperation leads to costly recalls, delayed launches, and customer dissatisfaction. However, the level of cooperation needed varies by decision - strategic decisions (new model launch) require extensive cross-functional cooperation, while routine operations can be managed within departments. A matrix structure can facilitate cooperation while maintaining clear accountability.

### **Management Style Evaluation (Case Study - Great Desks June 2023 P23)**

Q: Evaluate whether a democratic management style is appropriate for GD. [11]

A:

- [K] Democratic management involves consulting employees in decision-making, valuing their input and opinions.
- [An] FOR: GD makes custom furniture requiring skilled craftspeople. [An] These workers have expert knowledge of materials, techniques, and design possibilities. Consulting them on decisions

about production methods, materials, and designs leads to better outcomes because they understand practical constraints and possibilities that managers may not.

- [An] FOR: Skilled workers are motivated by involvement and respect for their expertise. [An] Democratic management satisfies higher-order needs (esteem, self-actualisation) and aligns with Herzberg motivators (responsibility, recognition). Motivated craftspeople produce higher-quality furniture.
- [An] AGAINST: However, democratic decision-making is slow. [An] If urgent customer orders require quick decisions, consulting all staff delays response. Some decisions (pricing, finance, strategy) may require business knowledge that workshop staff do not have.
- [An] AGAINST: Not all decisions benefit from full consultation. [An] Routine operational decisions (ordering supplies, scheduling deliveries) are more efficiently made by managers. Consulting staff on every minor issue wastes time and can frustrate employees who just want to get on with their craft.
- [Ev] JUDGEMENT: Democratic management is highly appropriate for GD for decisions relating to production methods, quality, and design because craftspeople expertise is essential. However, a contingency approach is best - using democratic style for craft/quality decisions while being more directive for urgent decisions or financial/strategic matters. The style should match the situation and the competence of those being consulted.

### **Autocratic Leadership Advantages/Disadvantages (Case Study - Seaside Hotel June 2022 P22)**

Q: Explain one advantage and one disadvantage of autocratic leadership for SH. [4]

A:

- [K] Autocratic leadership means the leader makes all decisions without consulting employees.
- [App/An] Advantage - Quick decisions in emergencies: Hotels face urgent situations (fire alarms, guest medical emergencies, sudden staff shortages). [An] An autocratic approach allows immediate decisions without time-consuming consultation, potentially preventing harm and ensuring quick resolution of crises.
- [App/An] Disadvantage - Demotivates experienced staff: Skilled hotel workers (experienced receptionists, chefs, housekeepers) have valuable knowledge and ideas. [An] Excluding them from decisions wastes their expertise, makes them feel undervalued, and reduces motivation. This leads to poor service, low morale, and higher turnover in an industry already suffering recruitment difficulties.

### **Non-Financial Motivators (Case Study - Fruit Farm March 2023 P22)**

Q: Explain two non-financial motivators that FF could use for farm workers. [4]

A:

- [App/An] Job rotation: Moving workers between different tasks (picking, packing, driving, sorting) rather than doing the same repetitive task all day. [An] This reduces boredom, develops skills, and makes work more interesting, satisfying social and esteem needs as workers become multi-skilled.
- [App/An] Teamwork: Organising workers into teams responsible for specific areas/crops, with team targets and recognition. [An] This creates social bonds, mutual support, peer motivation, and a sense of belonging (satisfying Maslow social needs). Teams can celebrate achievements together.

### **Non-Financial Motivator Definition (Case Study - Plasshape Nov 2023 P21)**

Q: Explain what is meant by a non-financial motivator. Give one example for PS. [3]

A:

- [K] A non-financial motivator is a method of encouraging employees to work harder that does not involve direct monetary payment or financial reward.
- [App] For PS (plastics manufacturer), an example could be job enrichment - giving production workers responsibility for quality checking their own output rather than having separate inspectors.  
[An] This increases responsibility and trust, satisfying esteem needs and making work more meaningful.

## 12. MARKETING - NATURE & RESEARCH

Market segmentation, market share, demand/supply, market research, CRM, adding value.

### Market Share Calculation (Case Study - Great Resources)

Q: GR has sales of \$2m in a market worth \$25m. Calculate GR market share. [2]

A:

- [Calc] Market share = (Business sales / Total market sales) x 100 = (\$2m / \$25m) x 100 = 8%

### Market Share Calculation (Case Study - MX Bikes June 2023 P22)

Q: MXB sells 800 motorcycles. Total market sales are 5,000 motorcycles. Calculate market share. [2]

A:

- [Calc] Market share = (800 / 5,000) x 100 = 16%

### Market Share Calculation (Case Study - Planting Pots Nov 2022 P23)

Q: PP has revenue of \$120,000. The market is worth \$2m. Calculate market share. [2]

A:

- [Calc] Market share = (\$120,000 / \$2,000,000) x 100 = 6%

### Market Share Fall Implication (Case Study - Planting Pots Nov 2022 P23)

Q: Explain one implication for PP of a fall in market share. [3]

A:

- [An] A falling market share means PP is losing competitiveness relative to rivals - customers are choosing competitor products instead. [An] This could lead to lower revenue, reduced economies of scale (higher unit costs), and a weakening brand position. If the trend continues, PP may become unviable as it cannot cover fixed costs with declining sales.

### Market Growth Calculation (Case Study - Custom Motorcycles Nov 2023 P23)

Q: The motorcycle market was worth \$50m last year and \$55m this year. Calculate market growth. [2]

A:

- [Calc] Market growth = ((New value - Old value) / Old value) x 100 = ((\$55m - \$50m) / \$50m) x 100 = 10%

## **Increasing Market Share (20-mark set)**

Q: Explain two ways a business could increase its market share. [4]

A:

- [An] Competitive pricing: Reducing prices below competitors attracts price-sensitive customers who switch brands. [An] In a price-elastic market, the increase in volume more than compensates for lower margins, growing market share. However, competitors may match price cuts, starting a price war.
- [An] Product improvement/innovation: Developing superior products with unique features or better quality that attract customers from rivals. [An] This creates competitive advantage without sacrificing margins - customers pay full price for a better product. However, R&D is expensive and innovation may not succeed.

## **Supply Definition (Case Study - Child Play)**

Q: Define supply. [2]

A:

- [K] Supply is the quantity of a good or service that producers are willing and able to offer for sale at a given price in a given time period. Generally, as price increases, quantity supplied increases (law of supply).

## **Demand Definition (20-mark set)**

Q: Define demand. [2]

A:

- [K] Demand is the quantity of a good or service that consumers are willing and able to buy at a given price in a given time period. Generally, as price falls, quantity demanded increases (law of demand).

## **Supply Factors (20-mark set)**

Q: Explain two factors that affect supply. [4]

A:

- [An] Cost of production: If input costs (raw materials, wages, energy) rise, supplying becomes less profitable at the current price. [An] Some producers may reduce output or exit the market, reducing supply. Conversely, falling costs increase profitability and encourage greater supply.
- [An] Technology: New technology can make production more efficient, reducing costs per unit. [An] This makes it profitable to produce more at any given price, increasing supply. For example, automation in manufacturing reduces labour costs and increases output capacity.

## **Factors Affecting Supply (Case Study - Farm Produce June 2022 P22)**

Q: Explain two factors that could affect the supply of farm produce. [4]

A:

- [App/An] Weather conditions: Good weather increases crop yields and therefore supply. [An] Poor weather (drought, frost, flooding) destroys crops, dramatically reducing supply regardless of market price. This makes agricultural supply particularly unpredictable.

- [App/An] Input costs: Rising fertiliser, seed, fuel, or labour costs make farming less profitable. [An] If costs rise above the price received, farmers may switch to other crops or reduce planted area, decreasing supply of that product.

### **Market Segmentation (Case Study - Priya's Bookshop June 2022 P21)**

Q: Explain what is meant by market segmentation. [2]

A:

- [K] Market segmentation is the process of dividing a market into distinct groups of consumers who have similar needs, characteristics, or behaviours, so that different marketing strategies can be targeted at each group. Bases include demographics (age, income, gender), geography, psychographics (lifestyle, values), and behaviour (usage rate, loyalty).

### **Market Segmentation Benefits (20-mark set)**

Q: Explain two benefits of market segmentation for a business. [4]

A:

- [An] More targeted marketing: Instead of a generic campaign, the business can tailor its marketing mix to each segment. [An] This increases effectiveness because messages resonate with specific customer needs, improving conversion rates and reducing wasted marketing spend on uninterested consumers.
- [An] Better product development: Understanding different segment needs helps develop products that precisely match what customers want. [An] This increases customer satisfaction and willingness to pay, potentially allowing premium pricing for products that closely match segment needs.

### **Market Segmentation Benefits (Nov 2022 P12 Q5a)**

Q: Explain two benefits of market segmentation for a motor car manufacturer. [4]

A:

- [App/An] Targeted product development: Segmenting by income/lifestyle allows the manufacturer to produce different models for different segments (economy cars for budget buyers, luxury for wealthy buyers, SUVs for families). [An] Each model precisely meets its target segment needs, maximising sales across the entire market rather than trying to serve everyone with one product.
- [App/An] Effective promotion: Different segments respond to different messages and media. [An] Young buyers might be reached via social media and digital advertising; luxury buyers through premium magazines and exclusive events. This targeted approach is more cost-effective than mass advertising and generates better response rates.

### **Marketing Adding Value (Nov 2022 P11 Q5a)**

Q: Explain two ways marketing can add value to a product. [4]

A:

- [An] Branding: Creating a strong brand identity makes customers perceive the product as superior to unbranded alternatives. [An] Customers willingly pay a premium for branded products (e.g., Nike vs generic trainers), even if the physical product is similar. The brand adds value by creating emotional connection, status, and trust.
- [An] Packaging: Attractive, innovative, or functional packaging makes the product more appealing

and convenient. [An] Premium packaging (e.g., Apple product packaging) creates an experience that justifies higher prices. It differentiates from competitors and can communicate quality before the product is even used.

### **Marketing Objectives with Other Departments (Nov 2022 P11 Q5b)**

Q: Evaluate how marketing objectives might conflict with other departments in a hotel. [11]

A:

- [K] Marketing objectives might include increasing occupancy rates, attracting new market segments, or increasing average room rates.
- [An] Conflict with Finance: Marketing may want large promotional budgets to attract guests, but finance wants to control costs and maintain profit margins. [An] An expensive advertising campaign reduces short-term profit even if it builds long-term brand awareness. Finance may reject marketing budget requests, limiting promotional activity.
- [An] Conflict with Operations/HRM: Marketing promises (luxury service, personalised attention) must be delivered by operational staff. [An] If marketing promotes services the hotel cannot consistently deliver (due to understaffing or insufficient training), customer disappointment damages reputation more than no promotion at all.
- [An] Conflict with Finance on pricing: Marketing may want promotional room rates to fill empty rooms, but finance needs rates that cover costs and generate profit. [An] Heavily discounted rooms may fill the hotel but at unsustainably low margins, or may attract price-sensitive guests who spend little on premium services.
- [An] HOWEVER: Objectives should be aligned through corporate objectives. [An] If the corporate objective is growth, all departments should support marketing expansion. If it is profitability, marketing should focus on premium positioning rather than volume discounting.
- [Ev] JUDGEMENT: Some conflict between marketing and other departments is inevitable because they have different functional priorities. The key is managing this through clear corporate objectives that provide an overall direction, regular cross-functional meetings, and compromise. Marketing should not operate in isolation but should integrate with operations, finance, and HRM to make promises that can be profitably delivered.

### **Corporate vs Marketing Objectives Link (20-mark set)**

Q: Explain the link between corporate objectives and marketing objectives. [3]

A:

- [K] Corporate objectives are the overall goals of the entire business (e.g., growth, profit, market share). Marketing objectives are the goals set specifically for the marketing function (e.g., increase market share by 5%, launch 2 new products).
- [An] Marketing objectives should be derived from and support corporate objectives. For example, if the corporate objective is to grow revenue by 20%, marketing might set objectives to increase market share, enter new segments, or launch new products to achieve that growth. Marketing is a tool for delivering corporate goals.

### **Market Research Definition (10-mark set)**

Q: Define market research. [2]

A:

- [K] Market research is the systematic process of gathering, analysing, and interpreting information about a market, customers, and competitors to support business decision-making and reduce uncertainty.

### **Primary Research Advantages (10-mark set)**

Q: Explain two advantages of primary research. [4]

A:

- [An] Specific to the business need: Primary research is designed and conducted to answer the exact questions the business has. [An] Unlike secondary data, which may be general or outdated, primary research provides precisely targeted information that directly informs the specific decision being made.
- [An] Up-to-date: Primary research captures current customer opinions, attitudes, and behaviour. [An] In fast-changing markets, recent data is essential for accurate decision-making. Secondary data may be months or years old and no longer reflect the current market situation.

### **Secondary Research Reasons (10-mark set)**

Q: Explain two reasons a business might use secondary research. [4]

A:

- [An] Lower cost and faster: Secondary data already exists (government statistics, industry reports, competitor websites), so collecting it is much cheaper and quicker than conducting primary research. [An] For a small business with a limited budget, secondary research provides useful market intelligence at minimal cost.
- [An] Provides context and background: Secondary research helps understand the overall market size, growth trends, and competitive landscape before investing in expensive primary research. [An] This background helps design better primary research questions and assess whether a market opportunity exists at all.

### **CRM Benefits (Nov 2024 P12 Q6a)**

Q: Explain two benefits of CRM (Customer Relationship Marketing) for a hotel. [4]

A:

- [K] CRM uses data and technology to build long-term relationships with customers, tracking preferences and interactions to personalise service.
- [App/An] Personalised service: CRM systems record guest preferences (room type, dietary requirements, pillow preferences). [An] When a returning guest is recognised and their preferences automatically met, they feel valued and are more likely to return, building loyalty and lifetime customer value.
- [App/An] Targeted marketing: CRM data identifies spending patterns and visit frequency, enabling personalised offers (e.g., special rates for guests who haven't visited recently, spa packages for guests who previously used the spa). [An] This targeted communication is more effective than generic marketing, generating higher response rates and revenue per marketing dollar spent.

### **Market Research for Hotel Product Development (Nov 2024 P12 Q6b)**

Q: Evaluate the importance of market research in developing new products for a hotel. [11]

A:

- [K] Market research gathers information about customer needs, preferences, and market trends to inform business decisions.
- [An] FOR: Identifies unmet customer needs. [App] Research might reveal guests want spa services, pet-friendly rooms, or conference facilities that the hotel does not currently offer. [An] Investing in these additions based on evidence of demand reduces the risk of providing services nobody wants, protecting the investment.
- [An] FOR: Tests concepts before launch. [An] Showing potential guests mock-ups of new room designs, menu concepts, or pricing structures allows feedback before expensive implementation. This reduces the risk of investing heavily in products that customers reject.
- [An] FOR: Identifies competitive gaps. [An] Researching what competitors offer and where they fall short reveals opportunities for differentiation. The hotel can develop unique products that fill gaps competitors have left.
- [An] AGAINST: However, research has limitations. [An] Respondents may say they want luxury features but not actually pay premium prices for them. Stated preferences and actual behaviour often differ, making research findings potentially misleading.
- [An] AGAINST: Market research is expensive and time-consuming. [An] For a small independent hotel, the cost of professional research may exceed the budget available. Also, by the time research is completed, market conditions may have changed.
- [Ev] JUDGEMENT: Market research is important for reducing risk in product development but is not infallible. For a hotel, combining formal research (surveys, focus groups) with informal customer feedback (reviews, complaints, staff observations) provides a comprehensive picture at manageable cost. The importance of formal research increases with the size of the investment - minor additions can rely on informal feedback, while major developments (spa, conference centre) justify formal research expenditure.

### **Niche Cake Business Failure (March 2023 P12 Q6b)**

Q: Evaluate why a niche cake business might fail. [11]

A:

- [K] A niche business targets a small, specific market segment rather than the mass market.
- [An] Limited market size: By definition, a niche market is small. [An] If the local area cannot support enough customers for specialist cakes (e.g., vegan, gluten-free, or luxury celebration cakes), revenue will be insufficient to cover costs regardless of product quality.
- [An] Vulnerability to competition: If the niche proves profitable, larger competitors or other small businesses may enter. [An] A small cake business has limited resources to defend its position against competitors with bigger marketing budgets or economies of scale in ingredient purchasing.
- [An] Cash flow problems: Specialist cakes may be ordered intermittently (celebrations, events) rather than providing steady daily income. [An] Periods with few orders still incur rent, wages, and ingredient waste costs, creating cash flow difficulties.
- [An] HOWEVER - reasons for success: Strong customer loyalty in a niche (reputation for quality, personal service). [An] Premium pricing possible for specialist products. Low competition if the niche is too small to attract large rivals. Word-of-mouth marketing reduces promotional costs.
- [Ev] JUDGEMENT: A niche cake business is most likely to fail if: the market is too small for the cost base, the owner underestimates financial management challenges, or if larger competitors enter the segment. Success requires a sufficiently large target market, excellent product quality, strong personal brand, careful financial management, and potentially diversification (classes, wholesale, online sales) to supplement core income.

## 13. MARKETING MIX - PRODUCT

USP, product life cycle, product differentiation, portfolio analysis, mass marketing, niche marketing.

### Product Differentiation (Case Study - Child Play)

Q: Define product differentiation. [2]

A:

- [K] Product differentiation is the process of making a product distinct from competitors in ways that customers value, so they perceive it as different or superior. This can be through quality, design, features, branding, customer service, or image.

### Product Differentiation Importance (Short Answers)

Q: Explain why product differentiation is important for a business. [3]

A:

- [An] Differentiation creates competitive advantage - customers choose the product over alternatives because it offers something unique or superior. [An] This allows the business to charge premium prices (higher margins) because customers are willing to pay more for perceived superiority, and builds brand loyalty that reduces price sensitivity.

### Product Differentiation in Primary Sector (Nov 2023 P11 Q5b)

Q: Evaluate the importance of product differentiation for a business in the primary sector. [11]

A:

- [K] The primary sector involves extraction of natural resources (farming, mining, fishing). Products are often commodities (identical regardless of producer).
- [An] FOR: Differentiation can create premium pricing. [App] An organic farm can differentiate through organic certification, free-range labelling, or local provenance. [An] Consumers increasingly pay premiums for sustainable, ethical, or local products, allowing differentiated primary producers to earn higher margins than commodity producers.
- [An] FOR: Reduces price competition. [An] Undifferentiated primary products compete solely on price, which is often globally determined and volatile. Differentiation allows the producer to partially escape commodity pricing and maintain more stable, higher revenues.
- [An] AGAINST: However, many primary products are genuine commodities. [An] Iron ore, coal, wheat, and crude oil are identical regardless of producer. Buyers (often large manufacturers) purchase purely on price and quantity, making differentiation impossible or irrelevant.
- [An] AGAINST: Differentiation costs money (organic certification, packaging, branding, marketing). [An] For a small primary producer with tight margins, these costs may exceed the premium achievable, actually reducing profitability.
- [Ev] JUDGEMENT: Product differentiation is important where possible in the primary sector, particularly for consumer-facing products (food, flowers) where branding and quality perception directly influence buying decisions. It is less relevant for industrial commodities sold to manufacturers on price alone. The importance depends on the specific product, target customer, and whether a premium market exists.

## USP Benefits (June 2023 P12 Q6a)

Q: Explain two benefits of having a USP for a new coffee shop. [4]

A:

- [K] A USP (Unique Selling Point) is a distinctive feature that sets a product/business apart from all competitors.
- [App/An] Attracts customers from competitors: In a crowded coffee market, a USP gives customers a specific reason to choose this shop over established chains. [An] For example, a USP of locally roasted single-origin beans differentiates from chains using standardised blends, attracting coffee enthusiasts willing to travel further and pay more.
- [App/An] Supports premium pricing: A genuine USP that customers value (unique ambience, exclusive food menu, speciality brewing methods) justifies higher prices. [An] Customers pay for uniqueness rather than just coffee, improving profit margins and reducing the need to compete on price against larger chains with economies of scale.

## Product Life Cycle (Short Answers)

Q: Explain the stages of the product life cycle. [4]

A:

- [K] Introduction: Product launched, low sales, high marketing costs, likely losses. Awareness building is the priority.
- [K] Growth: Sales rise rapidly, profit increases, competitors enter, market share builds.
- [K] Maturity: Sales peak and stabilise, competition is intense, profits may start to decline, extension strategies used.
- [K] Decline: Sales fall as market shrinks or product becomes obsolete, profits fall, decision needed on whether to withdraw or try extension strategies.

## Extension Strategies (Short Answers)

Q: Explain two extension strategies a business could use. [4]

A:

- [An] Product modification: Updating features, design, packaging, or quality to make the product appealing again. [An] This can re-attract existing customers and attract new ones without the full cost of developing an entirely new product, extending the maturity phase.
- [An] Finding new markets/segments: Targeting the existing product at new geographic markets, age groups, or uses. [An] This opens new revenue streams for the same product, extending its commercial life without significant product development investment.

## Extension Strategies (Case Study - MX Bikes June 2023 P22)

Q: Explain two marketing mix extension strategies MXB could use. [4]

A:

- [App/An] Product modification: Updating motorcycle designs with new colours, features (ABS brakes, LED lights, phone connectivity), or engine variants. [An] This refreshes appeal for existing customers considering upgrading and attracts new buyers who want modern features.
- [App/An] New target markets: Marketing existing motorcycles to new segments (commuters, delivery riders, women riders) or new geographic markets (developing countries with growing

motorcycle demand). [An] This expands the customer base without needing to develop entirely new models.

### **Product Portfolio Analysis Benefits (Nov 2022 P13 Q5a)**

Q: Explain two benefits of product portfolio analysis for a soft drink company. [4]

A:

- [K] Product portfolio analysis (e.g., Boston Matrix) categorises products by market share and market growth to inform strategic decisions.
- [App/An] Identifies products needing investment or withdrawal: Analysis might show some drinks are "dogs" (low share, low growth) consuming resources without generating returns. [An] The company can decide to discontinue these and redirect resources to "stars" or "question marks" with better potential, improving overall portfolio performance.
- [App/An] Ensures balanced portfolio: Analysis reveals whether the company is over-reliant on one product. [An] If most revenue comes from one "cash cow" drink, the portfolio is vulnerable if that product declines. This prompts development of new products to ensure long-term revenue stability.

### **Product Portfolio Analysis for Marketing Objectives (June 2021 P12 Q5a)**

Q: Explain how product portfolio analysis helps achieve marketing objectives. [4]

A:

- [An] Identifies where to invest marketing spend: Products in the growth phase or "question marks" benefit most from marketing investment to build market share. [An] Directing promotional budgets towards high-potential products rather than spreading equally across all products maximises the return on marketing expenditure.
- [An] Informs product development decisions: If analysis shows the portfolio is ageing (mostly mature/declining products), the marketing objective should prioritise new product development. [An] This ensures the business maintains a pipeline of growth products to replace declining ones, sustaining long-term revenue and market position.

### **Mass Marketing Advantages (Nov 2023 P11 Q5a)**

Q: Explain two advantages of mass marketing. [4]

A:

- [An] Economies of scale: Producing and marketing one product for the entire market allows large production runs, bulk ingredient purchasing, and spreading marketing costs across huge sales volumes. [An] This reduces average costs significantly, allowing competitive pricing while maintaining profit margins.
- [An] Large potential market: Mass marketing targets all consumers rather than a small segment, maximising the potential customer base. [An] Even a small market share of a mass market can generate enormous revenue, providing financial security and resources for investment.

### **New Product Range Advantages/Disadvantages (Case Study - MX Bikes June 2023 P22)**

Q: Explain one advantage and one disadvantage of developing a new product range for MXB. [4]

A:

- [App/An] Advantage - Diversification reduces risk: If MXB currently only sells motorcycles and demand falls (recession, fuel price rises), all revenue is affected. [An] A new range (clothing, accessories, electric scooters) provides alternative revenue streams, reducing dependence on one product category.
- [App/An] Disadvantage - High development cost and risk: Developing a new product range requires significant R&D, tooling, and marketing investment with no guarantee of success. [An] If the new range fails, MXB loses its investment and management time has been diverted from the core motorcycle business, potentially weakening both.

## Marketing for New Coffee Shop (June 2023 P12 Q6b)

Q: Evaluate the most important element of the marketing mix for a new coffee shop. [11]

A:

- [K] The marketing mix consists of Product, Price, Place, and Promotion.
- [An] Product: The quality of coffee and food is fundamental - without a good product, no amount of promotion or pricing will generate repeat custom. [An] In a competitive market, the product (including service, ambience, menu variety) must be consistently excellent to build the word-of-mouth reputation that coffee shops depend on.
- [An] Place: Location is critical for a coffee shop - it must be where target customers pass (high street, near offices, transport hubs). [An] Even the best coffee shop in a poor location will struggle because customers buy coffee based on convenience. Once the location is chosen, it cannot easily be changed.
- [An] Price: Must balance value perception with profitability. [An] Too high drives customers to competitors; too low signals poor quality or is unsustainable. The price must reflect the positioning (premium/budget) and cover costs in what is a low-margin business.
- [An] Promotion: Initially important to build awareness, but less so once established. [An] Social media, loyalty cards, and word-of-mouth are more cost-effective than advertising for a local coffee shop.
- [Ev] JUDGEMENT: For a NEW coffee shop, Place is arguably most important because it determines the customer base available and cannot be changed later. However, Product quality is what converts first-time visitors into regulars. In reality, all elements must work together - a great product in a terrible location, or a great location with poor coffee, will both fail. The most important element depends on the specific competitive situation and target market.

## 14. MARKETING MIX - PRICE

Penetration, skimming, competitive, price discrimination.

### Price Discrimination (10-mark set)

Q: Define price discrimination and explain one disadvantage. [3]

A:

- [K] Price discrimination is charging different prices to different customers or market segments for the same product, where the price difference is not justified by cost differences (e.g., adult/child tickets, peak/off-peak pricing).
- [An] Disadvantage: Customers paying the higher price may feel unfairly treated if they discover others pay less for the same product. [An] This can damage brand loyalty and trust, and in some cases may face legal challenges or negative publicity.

## **Competitive Pricing Disadvantage (10-mark set)**

Q: Explain one disadvantage of competitive pricing. [2]

A:

- [K] Competitive pricing means setting prices at a similar level to competitors.
- [An] Disadvantage: It may lead to very low profit margins as businesses match each other downwards, particularly if a price war develops. [An] The business loses the ability to charge premium prices and has no pricing advantage, meaning it must compete on other elements of the marketing mix instead.

## **Penetration Pricing for Computer Manufacturer (June 2021 P12 Q5b)**

Q: Evaluate whether penetration pricing is the best strategy for a computer manufacturer launching a new product. [11]

A:

- [K] Penetration pricing sets a low initial price to gain rapid market share, with the intention of raising prices later once a customer base is established.
- [An] FOR: Rapidly builds market share. [App] In the competitive computer market, consumers compare prices carefully. A low price attracts price-sensitive buyers who might otherwise choose an established brand. [An] Once they experience the product quality, they become loyal and may accept price increases later.
- [An] FOR: Deters competitors from entering. [An] The low price makes the market segment appear unprofitable to potential rivals, discouraging entry and protecting the manufacturer emerging market position.
- [An] AGAINST: However, in the technology market, low price often signals low quality. [An] Computer buyers may associate the cheap price with inferior components, unreliable performance, or poor after-sales support. This damages brand perception and may deter the target market.
- [An] AGAINST: Low prices generate thin margins or even losses initially. [An] If the manufacturer cannot absorb these losses while building market share, cash flow problems could threaten survival before the strategy pays off. Computer development costs are high and need recouping.
- [An] AGAINST: Price skimming might be better for innovative products. [An] If the computer has genuinely innovative features, early adopters will pay premium prices. Penetration pricing throws away this premium and the revenue it provides for continued R&D.
- [Ev] JUDGEMENT: Penetration pricing suits a computer manufacturer entering an established market segment with a "me-too" product, where the main barrier to gaining customers is their existing brand loyalty to competitors. However, for an innovative product with unique features, price skimming is preferable. The choice depends on how differentiated the product is, the target market price sensitivity, and the manufacturer financial capacity to sustain initial low margins.

## **Price Skimming Benefit (Case Study - Custom Motorcycles Nov 2023 P23)**

Q: Explain one benefit of price skimming for CM launching a new custom motorcycle model. [3]

A:

- [K] Price skimming sets a high initial price for a new/innovative product, targeting customers willing to pay premium prices before gradually reducing price.
- [App/An] Benefit: Custom motorcycle enthusiasts and early adopters are willing to pay premium prices for exclusive, limited-availability models. [An] Skimming maximises revenue from these

customers who value exclusivity and novelty, helping CM recoup the significant R&D and tooling costs of developing a new model quickly.

### **Lowest Prices for New Airline (Nov 2023 P12 Q6b)**

Q: Evaluate whether always having the lowest prices is the best strategy for a new airline. [11]

A:

- [K] Being the lowest-price option means competing primarily on cost/price rather than service quality or differentiation.
- [An] FOR: Attracts price-sensitive customers. [An] Many travellers, especially leisure passengers and budget-conscious business travellers, choose purely on price. Being cheapest guarantees demand and rapid passenger growth, building market share quickly.
- [An] FOR: Fills seats. [An] Airlines have very high fixed costs (aircraft leases, staff, landing fees) regardless of passenger numbers. Selling cheap seats is better than flying with empty seats, as any revenue above marginal cost per passenger contributes to fixed costs.
- [An] AGAINST: However, lowest prices may be unsustainable. [An] A new airline has limited financial reserves. If prices are set below total average cost to attract customers, the airline makes losses. Without sufficient capital reserves, it could fail before reaching profitability.
- [An] AGAINST: Creates a "race to the bottom". [An] Competitors (especially established low-cost carriers with greater financial resources) may match or undercut prices, starting a price war the new entrant cannot win. Established airlines can sustain losses longer.
- [An] AGAINST: Low prices signal low quality. [An] Some passengers avoid the cheapest options fearing poor safety, terrible service, or hidden charges. The brand becomes associated with "cheap" making it difficult to raise prices later or attract premium passengers.
- [Ev] JUDGEMENT: Having the lowest prices can work as an initial penetration strategy to build passenger numbers quickly, but it is unlikely to be sustainable as the ONLY strategy long-term. The new airline should combine competitive (but not always lowest) pricing with acceptable service quality and route convenience. Once a customer base and reputation are established, prices can be optimised for profitability rather than always being cheapest. Value-for-money rather than cheapest is a more sustainable positioning.

### **Marketing-Corporate Objectives Link (Nov 2023 P12 Q6a)**

Q: Explain the link between marketing objectives and corporate objectives. [4]

A:

- [K] Corporate objectives are the overall business goals (e.g., 15% profit growth, expand internationally). Marketing objectives are the specific marketing targets that contribute to achieving them.
- [An] Marketing objectives should be derived from corporate objectives. [An] For example, if the corporate objective is 20% revenue growth, marketing objectives might include: increase market share by 5%, launch 3 new products, enter 2 new geographic markets. Each marketing objective is a step towards delivering the corporate goal.
- [An] This alignment ensures marketing activity directly supports business strategy rather than pursuing its own agenda. [An] Without this link, marketing might pursue brand awareness goals that do not translate into the revenue growth that shareholders and the board require.

### **Price vs Promotion in Marketing Mix (Case Study - Great Resources)**

Q: Evaluate whether price or promotion is more important in the marketing mix for GR. [11]

A:

- [K] Price is the amount charged to customers. Promotion is communication activities to inform and persuade customers.
- [An] Price importance: GR operates in a competitive market where customers compare prices. [An] Setting the wrong price (too high - loses customers to rivals; too low - insufficient margin) directly affects both revenue and profit. Price must reflect value, cover costs, and be competitive.
- [An] Promotion importance: Even a well-priced product will not sell if customers do not know about it. [App] For GR, promoting to the right target market builds awareness and generates enquiries. [An] Effective promotion creates brand recognition, communicates the value proposition, and drives customer traffic.
- [An] However, promotion costs money and the return is uncertain. [An] Spending heavily on promotion for a poorly-priced product wastes resources - customers attracted by promotion will not buy if the price is wrong.
- [Ev] JUDGEMENT: Both are important and interdependent. Price must be right to convert interest into sales; promotion must be effective to generate interest in the first place. For GR, the relative importance depends on its market position: if products are well-known but losing sales to cheaper rivals, price is more important. If products are good value but unknown, promotion is more important. In practice, both must be appropriate simultaneously for marketing mix success.

## 15. MARKETING MIX - PROMOTION

Above/below the line, digital promotion, sampling.

### Promotion Methods (Case Study - Child Play)

Q: Explain two methods of promotion CP could use. [4]

A:

- [App/An] Social media marketing: CP can use platforms like Instagram and TikTok to showcase children playing with products, reaching parents where they spend time online. [An] This is relatively low cost, highly targeted (can target parents of specific age children), and allows sharing/viral spread. User-generated content of happy children is powerful social proof.
- [App/An] Point-of-sale displays in retail stores: Colourful, attractive displays near checkouts or in toy aisles catch the attention of both children and parents. [An] This influences impulse purchases at the moment of decision, when the customer is already in a buying mindset. Demonstration units allow children to try products, increasing desire.

### Promotion Methods (Case Study - Priya's Bookshop June 2022 P21)

Q: Explain two methods of promotion suitable for PB. [4]

A:

- [App/An] Social media presence: Creating engaging content about books, reading recommendations, author events, and shop atmosphere. [An] This builds a community of book lovers, is low cost, and reaches local customers effectively. Regular posts keep PB visible and encourage visits.
- [App/An] Author events and book signings: Hosting local authors creates unique experiences that online retailers cannot match. [An] Events attract new customers, generate local press coverage,

and create social media content. They position PB as a community hub rather than just a shop, building loyalty.

### **Above the Line Promotion (Case Study - Pop-up Movies Nov 2022 P23)**

Q: Define above the line promotion. [2]

A:

- [K] Above the line promotion is advertising through mass media channels (TV, radio, newspapers, magazines, billboards, cinema) that reaches a large, broad audience. It is paid-for advertising through media independent of the business.

### **Digital Promotion Benefits (Case Study - Jake's Cakes Nov 2023 P23)**

Q: Explain two benefits of digital promotion for JC. [4]

A:

- [App/An] Visual showcase: Cake businesses benefit hugely from visual platforms (Instagram, Pinterest, TikTok). [An] High-quality photos and videos of beautifully decorated cakes attract customers and demonstrate skill/quality in a way that text advertising cannot match. Potential customers can instantly see JC work and decide to order.
- [App/An] Low cost and targeted reach: Digital advertising can be targeted to local users searching for "birthday cakes" or "wedding cakes" in the area. [An] This is much cheaper than newspaper advertising and reaches exactly the people most likely to buy, maximising return on promotional spending for a small business with limited budget.

### **Sampling Limitations (March 2024 P12 Q5a)**

Q: Explain two limitations of sampling as a promotion method for a parcel delivery service. [4]

A:

- [K] Sampling means giving potential customers a free trial of the product/service to encourage future purchase.
- [App/An] High cost per sample: Delivering parcels free as samples means bearing the full cost of delivery (driver, fuel, vehicle, insurance) without revenue. [An] For a delivery service where each transaction has significant variable costs, free trials are expensive. Unlike sampling a food product (pennies per sample), each delivery trial could cost several dollars.
- [App/An] Customers may only use the free service without converting to paying customers. [An] Some people will take the free delivery but revert to their existing provider afterwards, particularly if the existing provider is adequate. The conversion rate from free trial to loyal customer may be low, making the cost per acquired customer very high.

### **Promotion for Parcel Delivery (March 2024 P12 Q5b)**

Q: Evaluate the most effective promotion method for a parcel delivery service. [11]

A:

- [K] Promotion methods include advertising, sales promotion, direct marketing, digital marketing, and public relations.
- [An] Digital advertising (Google Ads, social media): Targets people actively searching for delivery services or running online businesses that need deliveries. [An] Pay-per-click means the business

only pays when someone shows interest. Can be targeted geographically and by customer type (businesses vs consumers), making it cost-effective and measurable.

- [An] B2B direct marketing: Approaching online retailers and businesses directly with offers of competitive delivery rates. [An] Since business customers generate regular, repeat orders (unlike one-off consumers), converting one business customer provides ongoing revenue. Personal relationship building through sales representatives is effective in B2B markets.
- [An] Customer referral programmes: Offering existing satisfied customers a discount for referring new customers. [An] This leverages trust (people believe recommendations from people they know) and only costs money when new customers are actually acquired. However, growth is slow and depends on having satisfied existing customers first.
- [An] AGAINST mass media advertising: TV/radio advertising reaches many people but most do not need delivery services. [An] The cost per relevant customer reached is high, making mass media inefficient for a service with a specific target market.
- [Ev] JUDGEMENT: For a parcel delivery service, digital advertising combined with B2B direct marketing is likely most effective. Digital reaches consumers and small businesses searching for solutions online; direct marketing secures larger business accounts. The balance depends on whether the target is consumers (digital focus) or businesses (direct/relationship focus). Mass media is likely too expensive and poorly targeted for this service.

### **Branding for Soft Drink (Nov 2022 P13 Q5b)**

Q: Evaluate the importance of branding for a soft drink company. [11]

A:

- [K] Branding is the process of creating a distinctive name, image, and identity for a product to differentiate it from competitors.
- [An] FOR: In the soft drink market, products are physically very similar (flavoured, carbonated water with sugar). [An] Branding is what creates perceived differences - Coca-Cola and a supermarket cola are chemically similar, but branding allows Coca-Cola to charge a premium. Without branding, soft drinks become commodities competing solely on price.
- [An] FOR: Builds emotional connection and loyalty. [An] Strong soft drink brands create loyalty that survives price increases, promotional activity by competitors, and even product changes. Customers feel connected to the brand identity, not just the liquid.
- [An] FOR: Supports new product launches. [An] A trusted brand can extend into new flavours, diet versions, or energy drinks with lower marketing costs because existing brand equity provides instant credibility and customer interest.
- [An] AGAINST: However, branding requires enormous ongoing investment. [An] Maintaining a soft drink brand requires constant advertising, sponsorship, social media presence, and packaging refreshes. Small or new companies cannot match established brand spend, limiting their ability to compete.
- [Ev] JUDGEMENT: Branding is critically important in the soft drinks market because the physical product is easily replicated - branding IS the competitive advantage for market leaders. For small or new entrants, building a brand is challenging and expensive, so they may compete initially on niche positioning (organic, health-focused, local) rather than trying to out-brand established global players. However, even niche players need some form of brand identity to differentiate and justify premium pricing.

### **Marketing for Motor Car Manufacturer (Nov 2022 P12 Q5b)**

Q: Evaluate the marketing strategy a motor car manufacturer should use. [11]

A:

- [K] Marketing strategy encompasses targeting, positioning, and the marketing mix decisions that deliver competitive advantage.
- [An] Product: Cars must be reliable, safe, well-designed, and meet emission standards. [An] Product quality and features are essential because cars are expensive purchases that customers research extensively. Poor reviews or reliability issues destroy sales quickly in the digital age.
- [An] Price: Must match the brand positioning (luxury vs economy) and compete within the segment. [An] A mid-range manufacturer must price competitively against similar brands while maintaining margins for dealer incentives and after-sales support.
- [An] Promotion: Major investment required in advertising (TV, digital, showroom experience). [An] Car purchases involve long decision-making processes - promotion must work at awareness stage (advertising) and conversion stage (test drives, finance offers, showroom experience).
- [An] Place: Dealer network is crucial - customers want to see, touch, and test drive before buying. [An] However, digital sales channels are growing. The balance between traditional dealerships and online/direct sales is a key strategic decision.
- [Ev] JUDGEMENT: For a motor car manufacturer, no single element dominates - the marketing mix must be coherent. However, Product is arguably foundational because in a market with extensive reviews and consumer information, a poor product cannot be rescued by good promotion or pricing. The most effective strategy aligns product quality with appropriate pricing, supported by impactful promotion through a convenient distribution network. The specific emphasis depends on brand positioning (luxury emphasises product/promotion; budget emphasises price/place).

## 16. MARKETING MIX - PLACE

Supply chain management, distribution channels.

### Supply Chain Management (Case Study - Fruit Farm March 2023 P22)

Q: Explain the importance of supply chain management for FF. [4]

A:

- [K] Supply chain management (SCM) involves coordinating and managing all activities involved in sourcing, procurement, production, and delivery of products to customers.
- [App/An] Fresh produce is perishable: FF must manage the time from harvest to customer very carefully. [An] Poor SCM means fruit spoils in transit, leading to waste, customer complaints, and lost revenue. Effective SCM ensures cold chain integrity and rapid delivery, maintaining freshness and quality.
- [App/An] Coordinating multiple distribution channels: FF may sell to supermarkets, local markets, and direct to consumers. [An] SCM ensures the right quantities are delivered to the right places at the right times, preventing oversupply (waste) to some channels and undersupply (lost sales) to others.

### Marketing Mix for New Product (Case Study - Plasshape Nov 2023 P21)

Q: Recommend an appropriate marketing mix for PS launching a new plastic product. [6]

A:

- [App] Product: Must be functional, durable, and meet customer specifications. If selling to other businesses (B2B), technical quality and reliability are paramount. If consumer-facing, design and

aesthetics matter more.

- [App] Price: For a new product from an established manufacturer, competitive pricing signals value while not undermining quality perception. If the product has unique features, moderate price skimming may be possible.
- [App] Promotion: B2B approach likely most effective - trade exhibitions, direct sales teams visiting potential customers, technical specifications shared with procurement departments. Trade journal advertising. Digital presence with detailed product information.
- [App] Place: Direct sales for large orders (relationship-based), distributors for wider market access. Online ordering system for repeat purchases.
- [Ev] The specific mix depends on whether PS is targeting business or consumer markets. B2B requires emphasis on product quality, direct relationships, and competitive pricing. Consumer markets require greater promotional investment and retail distribution.

### **SCM for Internet Retailer (June 2024 P13 Q6b)**

Q: Evaluate the importance of supply chain management for an internet retailer. [11]

A:

- [K] SCM coordinates the flow of goods from suppliers through to customers.
- [An] FOR: Customer expectations of speed. [An] Online shoppers expect fast delivery (often next-day or same-day). Effective SCM ensures inventory is available in distribution centres near customers, carriers are reliable, and systems track deliveries accurately. Poor SCM means late deliveries, wrong items, and customer loss to Amazon and similar competitors with excellent logistics.
- [An] FOR: Cost management. [An] Delivery is a major cost for internet retailers. Efficient SCM optimises routes, consolidates shipments, negotiates carrier rates, and minimises returns costs. Poor SCM with inefficient logistics erodes already thin online retail margins.
- [An] FOR: Inventory management. [An] Holding too much stock ties up cash; too little means stockouts and lost sales. SCM systems using demand data optimise inventory levels, reducing waste while maintaining availability.
- [An] AGAINST: However, SCM is largely about execution rather than competitive advantage. [An] If all internet retailers have good SCM (which market leaders do), it becomes a necessity rather than a differentiator. The retailer still needs strong product range, pricing, and marketing to attract customers in the first place.
- [An] AGAINST: Heavy investment in SCM infrastructure (warehouses, technology, vehicles) requires significant capital. [An] Small internet retailers may be unable to invest in own logistics, relying on third-party carriers over whom they have limited control.
- [Ev] JUDGEMENT: SCM is critically important for an internet retailer because delivery IS the customer experience (unlike physical retail where the shop visit is the experience). Poor logistics directly cause customer loss. However, SCM alone does not create success - it must be combined with strong product proposition, competitive pricing, and effective digital marketing. For large retailers, investing in own SCM is competitive advantage; for smaller ones, partnering with reliable third-party logistics providers is essential.

### **SCM for Electric Car Manufacturer (June 2023 P11 Q5b)**

Q: Evaluate the importance of SCM for an electric car manufacturer. [11]

A:

- [K] SCM manages the entire supply chain from raw materials to finished vehicle delivery to

customers.

- [An] FOR: Electric vehicles require specialist components (batteries, electric motors, charging systems) from limited global suppliers. [An] Effective SCM ensures reliable supply of these critical, expensive components. Supply disruption (e.g., lithium shortage for batteries) halts entire production lines, causing massive revenue loss and customer order cancellations.
- [An] FOR: Quality control across the supply chain is safety-critical. [An] Defective battery components can cause fires or failures. SCM must ensure all suppliers meet strict quality standards through audits, testing, and certification. A single supplier quality failure could trigger expensive recalls and reputational damage.
- [An] FOR: Cost management in a competitive market. [An] Batteries represent 30-40% of electric vehicle cost. Effective SCM that negotiates good supply contracts, reduces waste, and optimises logistics directly impacts the final vehicle price and competitiveness against rivals.
- [An] AGAINST: However, other factors also determine success. [An] Vehicle design, technology innovation, brand image, dealer network, and marketing are equally important. The best supply chain cannot sell a poorly designed or overpriced vehicle.
- [Ev] JUDGEMENT: SCM is exceptionally important for an electric car manufacturer due to the specialist nature of components, limited supplier base, safety requirements, and cost pressures. It is arguably more important than for traditional car manufacturers because the supply chain for EV components is less mature and more vulnerable to disruption. However, it must work alongside strong R&D, marketing, and sales to create a successful business.

### **SCM in Hospital (Nov 2023 P13 Q6b)**

Q: Evaluate the importance of supply chain management in a hospital. [11]

A:

- [K] Hospital SCM manages the procurement and delivery of medical supplies, pharmaceuticals, equipment, and consumables needed for patient care.
- [An] FOR: Patient safety depends on supply reliability. [An] If medicines, surgical supplies, or blood products are unavailable when needed, patient health is directly threatened. SCM must ensure critical items are always in stock, with contingency plans for supply disruption.
- [An] FOR: Cost control in budget-constrained healthcare. [An] Hospitals spend enormous amounts on supplies. Effective SCM negotiates better prices, reduces waste (expired medicines, unused supplies), and consolidates purchasing across departments, freeing budget for frontline patient care.
- [An] FOR: Managing complexity. [An] Hospitals use thousands of different products from hundreds of suppliers. Without systematic SCM, ordering is chaotic, duplicated, and expensive. Automated systems ensure efficient ordering, storage, and distribution across wards and departments.
- [An] AGAINST: Clinical priorities must override pure supply chain efficiency. [An] A hospital cannot operate JIT for life-saving medicines - safety stock must be held even if it represents inefficient use of capital. Patient safety always takes priority over cost minimisation.
- [Ev] JUDGEMENT: SCM is extremely important in hospitals because supply failures have life-or-death consequences and budgets are limited. However, it must be adapted to healthcare priorities - patient safety and clinical needs override pure efficiency. The best hospital SCM balances cost control with reliability, ensuring essential supplies are always available while minimising waste and cost. Technology (automated ordering, barcode tracking, AI demand prediction) is transforming hospital SCM effectiveness.

## **17. OPERATIONS - NATURE**

Factors of production, transformation process, efficiency, productivity, capital/labour intensive, sustainability, added value.

### **Factors of Production (Short Answers)**

Q: State the four factors of production with examples. [4]

A:

- [K] Land: Natural resources (farmland, oil, minerals, water). Reward: rent.
- [K] Labour: Human physical and mental effort (workers, managers). Reward: wages/salaries.
- [K] Capital: Man-made resources used in production (machinery, tools, vehicles, buildings). Reward: interest.
- [K] Enterprise: The risk-taking entrepreneur who combines other factors. Reward: profit.

### **Transformation Process (Short Answers)**

Q: Explain the transformation process. [3]

A:

- [K] The transformation process is how inputs (raw materials, labour, capital, enterprise) are converted into outputs (finished goods or services) through production activities. Value is added during this process as outputs are worth more to customers than the cost of inputs used.

### **Efficiency (Short Answers)**

Q: Define efficiency in operations. [2]

A:

- [K] Efficiency means producing output with minimum waste of resources (time, materials, labour, energy). An efficient operation achieves maximum output from given inputs, or achieves required output using minimum inputs.

### **Improving Efficiency (Short Answers)**

Q: Explain two ways a business could improve its operational efficiency. [4]

A:

- [An] Invest in technology/automation: Replacing manual processes with machines or software increases output per hour and reduces human error. [An] This reduces labour costs per unit and improves consistency, though requires significant capital investment and may cause redundancies.
- [An] Staff training: Better-trained workers complete tasks faster, make fewer mistakes, and waste less material. [An] This improves productivity without major capital investment and also improves morale as workers feel more competent and confident.

### **Process Innovation (Short Answers)**

Q: Explain what is meant by process innovation. [3]

A:

- [K] Process innovation means developing new or significantly improved methods of production, delivery, or support activities. [An] Unlike product innovation (new products), process innovation

improves HOW things are made or delivered - making operations faster, cheaper, more flexible, or higher quality (e.g., introducing robotics, lean manufacturing, or digital ordering systems).

### **Process Innovation Impact (Case Study - Motorcycle Components June 2022 P21)**

Q: Analyse the impact of process innovation on MC. [6]

A:

- [App/An] Improved production efficiency: New manufacturing processes (e.g., CNC machining, 3D printing for prototypes) enable faster production of motorcycle components with greater precision. [An] This reduces waste, lowers defect rates, and increases output capacity without proportional cost increases.
- [App/An] Impact on workforce: New processes may require fewer workers or different skills. [An] Some employees may be made redundant (increasing costs short-term through severance) while others need retraining. This can create resistance and low morale during the transition period.
- [App/An] Competitive advantage: Being able to produce components faster or to tighter tolerances than competitors wins contracts from motorcycle manufacturers. [An] This increases revenue and market share, but the advantage may be temporary as competitors adopt similar innovations.

### **Process Innovation Benefits (Case Study - Move Well Nov 2022 P21)**

Q: Explain two benefits of process innovation for MW (fitness business). [4]

A:

- [App/An] Online booking/payment systems: Automating class bookings and payments reduces administrative time and staff costs. [An] Customers can book conveniently at any time, improving their experience and reducing the chance of lost bookings due to phone lines being busy.
- [App/An] Virtual/streaming classes: Offering online workout sessions alongside in-person classes. [An] This expands the potential customer base beyond the local area, generates additional revenue without needing more physical space, and provides flexibility that attracts time-poor customers.

### **Productivity Importance (Short Answers)**

Q: Explain why productivity is important for a business. [3]

A:

- [K] Productivity measures output per unit of input (e.g., units per worker per hour).
- [An] Higher productivity means more output from the same resources, reducing average costs per unit. [An] This either increases profit margins or allows lower prices to gain competitive advantage. Businesses with higher productivity than competitors can offer better value while remaining profitable.

### **Labour Productivity Calculation (Case Study - Delicious Cocoa June 2023 P21)**

Q: DC produces 60,000 kg of cocoa products per month with 40 workers. Calculate labour productivity. [2]

A:

- [Calc] Labour productivity = Total output / Number of workers =  $60,000 / 40 = 1,500$  kg per worker per month

## **Productivity Importance (Case Study - Delicious Cocoa June 2023 P21)**

Q: Explain why productivity is important for DC. [4]

A:

- [App/An] Reduces cost per kg: Higher productivity means each worker produces more cocoa product per hour, reducing the labour cost per kilogram. [An] In the competitive food industry where margins are tight, lower unit costs allow DC to either price more competitively or earn higher margins.
- [App/An] Meets growing demand: If demand for chocolate/cocoa products grows, increased productivity allows DC to fulfil larger orders without proportionally increasing its workforce. [An] This means growth without proportional cost increases, improving profitability as the business scales up.

## **Measuring Labour Productivity Reasons (Nov 2024 P12 Q5a)**

Q: Explain two reasons for measuring labour productivity in a retail distribution business. [4]

A:

- [An] Identifies inefficiencies: Measuring productivity (parcels picked/packed per worker per hour) reveals which processes, shifts, or workers underperform. [An] Management can then investigate causes (poor training, equipment problems, layout issues) and take corrective action to improve efficiency.
- [An] Benchmarking and target-setting: Productivity data allows comparison between different warehouses, shifts, or time periods. [An] This enables realistic target-setting, identification of best practices that can be shared across the business, and fair performance-based reward systems.

## **Capital Intensive (Short Answers)**

Q: Define capital-intensive production. [2]

A:

- [K] Capital-intensive production uses a high proportion of machinery, equipment, and technology relative to labour. Examples include oil refining, car manufacturing, and automated warehouses.

## **Labour Intensive Benefits (Short Answers)**

Q: Explain two benefits of labour-intensive production. [4]

A:

- [An] Flexibility: Workers can adapt to different tasks, customise products, and respond to unusual customer requirements in ways machines cannot. [An] This is particularly valuable for bespoke or service businesses where each customer need is different.
- [An] Lower initial investment: Starting a labour-intensive business requires less capital than investing in expensive machinery. [An] This reduces barriers to entry, makes it easier to start up, and means less financial risk if the business fails. Labour costs can also be adjusted (reduce hours/staff) more easily than machine costs in a downturn.

## **Labour Intensive (Case Study - Farm Produce June 2022 P22)**

Q: Explain what is meant by labour-intensive production. [2]

A:

- [K] Labour-intensive production is a method that uses a high proportion of workers relative to machinery and capital equipment. For a farm, this means tasks are primarily performed by human workers (picking, planting, sorting) rather than automated machines.

## **Lean Production (Short Answers)**

Q: Define lean production. [2]

A:

- [K] Lean production is an approach that aims to minimise all forms of waste (time, materials, defects, inventory, unnecessary movement) while simultaneously maximising value for the customer. Techniques include JIT, kaizen (continuous improvement), and quality circles.

## **Sustainability in Retail Distribution (Nov 2024 P12 Q5b)**

Q: Evaluate the importance of sustainability for a retail distribution business. [11]

A:

- [K] Sustainability means operating in ways that meet present needs without compromising future generations ability to meet their needs (environmental, social, and economic considerations).
- [An] FOR: Consumer demand for sustainable delivery. [An] Customers increasingly prefer retailers with sustainable practices (electric vehicles, minimal packaging, carbon-neutral delivery). Offering sustainable options attracts environmentally-conscious consumers and differentiates from less sustainable competitors.
- [An] FOR: Cost savings from efficiency. [An] Sustainable practices often reduce costs - optimised delivery routes use less fuel, reduced packaging saves materials, and energy-efficient warehouses have lower utility bills. Sustainability and efficiency frequently align.
- [An] FOR: Regulatory compliance and future-proofing. [An] Governments are increasingly regulating emissions, packaging waste, and environmental impact. Early adoption of sustainable practices means the business is prepared for tighter regulations rather than facing costly last-minute compliance.
- [An] AGAINST: However, sustainability investments are expensive upfront. [An] Electric delivery fleets, solar-powered warehouses, and sustainable packaging all require significant capital investment that increases costs before savings materialise. For a business with thin distribution margins, this investment is difficult to finance.
- [An] AGAINST: Some sustainable options may reduce service speed. [An] Consolidated deliveries (fewer, fuller vehicles) are more sustainable but may mean slower delivery times, conflicting with customer expectations of speed.
- [Ev] JUDGEMENT: Sustainability is increasingly important for retail distribution due to consumer expectations, regulatory direction, and genuine cost savings from efficiency. It is becoming a competitive necessity rather than optional. However, the pace of transition depends on financial capacity, customer willingness to accept any service trade-offs, and the availability of sustainable infrastructure (charging networks, recyclable materials). The most successful businesses find ways to be sustainable AND efficient simultaneously.

## **Sustainability Benefits (June 2024 P13 Q6a)**

Q: Explain two benefits of sustainability for a business. [4]

A:

- [An] Enhanced brand reputation: Consumers, especially younger demographics, increasingly prefer sustainable brands. [An] Being seen as environmentally responsible builds customer loyalty, attracts new customers, and can justify premium pricing, increasing revenue and market share.
- [An] Cost reduction: Sustainable practices (reducing energy use, minimising waste, recycling, efficient resource use) often reduce operating costs. [An] Lower utility bills, less waste disposal cost, and reduced material usage directly improve profitability while also benefiting the environment.

### **Added Value (Case Study - Delicious Cocoa June 2023 P21)**

Q: Explain how DC adds value during production. [3]

A:

- [K] Added value = Selling price - Cost of bought-in materials. It represents the value created during the production process.
- [App/An] DC transforms raw cocoa beans (relatively low-value commodity) into finished chocolate products (much higher selling price). [An] The processing (roasting, grinding, blending, moulding, packaging, branding) creates products customers value far more than the raw ingredients, generating the margin that covers costs and provides profit.

### **Operations Contributing to Added Value (Nov 2023 P13 Q6a)**

Q: Explain two ways operations can contribute to added value. [4]

A:

- [An] Quality improvement: Operations that produce higher-quality output increase the price customers are willing to pay. [An] Better quality materials, skilled workmanship, and quality control processes create products worth more than basic alternatives, increasing the gap between input cost and selling price.
- [An] Efficiency and waste reduction: Reducing material waste during production means less raw material is needed per unit of output. [An] This reduces input costs without reducing selling price, directly increasing added value per unit produced. Lean production techniques are specifically designed to maximise value while minimising waste.

### **Increasing Added Value (Case Study - Seaside Hotel June 2022 P22)**

Q: Recommend how SH could increase added value. [6]

A:

- [App/An] Improve service quality: Training staff to provide exceptional, personalised service creates an experience guests value highly. [An] The cost of service training is relatively low, but guests perception of value (and willingness to pay premium rates) increases significantly. This widens the gap between costs and prices.
- [App/An] Develop unique experiences: Creating packages (spa, local tours, themed events) that transform a basic hotel stay into a memorable experience. [An] Guests pay more for experiences than just a room - the added value comes from creating something unique that competitors cannot easily replicate.
- [Ev] Both methods increase what customers will pay (raising selling price) without proportionally increasing costs, thus increasing added value. The best approach for SH depends on target market - business travellers value efficiency and service; leisure guests value experience and uniqueness.

## 18. OPERATIONS - INVENTORY MANAGEMENT

JIT, JIC, inventory control, lead time.

### JIT Benefits (Case Study - Motorcycle Components June 2022 P21)

Q: Explain two benefits of JIT (Just-in-Time) inventory management for MC. [4]

A:

- [K] JIT means receiving materials only when needed for production, holding minimal or zero inventory.
- [App/An] Reduced storage costs: MC does not need large warehouses to store motorcycle components. [An] This saves rent, insurance, security, and handling costs. For precision engineering components that may be expensive, reducing inventory also frees up significant working capital.
- [App/An] Reduced waste from obsolescence: Motorcycle components may be updated or redesigned frequently. [An] With JIT, MC does not risk holding large stocks of components that become obsolete when designs change, avoiding the write-off costs that come with outdated inventory.

### JIT (Case Study - Great Desks June 2023 P23)

Q: Explain what is meant by JIT and give one advantage for GD. [3]

A:

- [K] JIT (Just-in-Time) is an inventory management system where materials are delivered just before they are needed in production, minimising stock held.
- [App/An] For GD (custom furniture maker): Wood and materials arrive shortly before each bespoke piece is made. [An] This reduces cash tied up in stock (which is important for a small business), minimises storage space needed, and ensures materials are fresh and undamaged from long storage. Since each piece is custom, holding standard stock would be wasteful as requirements vary per order.

### JIT Impacts (Case Study - Bear Bears Nov 2023 P22)

Q: Analyse the impact of adopting JIT on BB (teddy bear manufacturer). [6]

A:

- [App/An] Positive - Reduced storage costs: BB no longer needs warehouse space for large stocks of fabric, stuffing, and accessories. [An] This frees up space (potentially reducing rent) and capital for other uses such as marketing or product development.
- [App/An] Positive - Better cash flow: Money is not tied up in unused materials sitting in storage. [An] Cash can be used for other purposes or reduces the need for overdraft facilities, saving interest costs.
- [App/An] Negative - Vulnerability to supply disruption: If fabric or component suppliers are late delivering, BB production line stops. [An] Unlike holding buffer stock, JIT offers no protection against late deliveries, transport problems, or supplier failures. Any production stoppage means customer orders are delayed, potentially losing sales.
- [App/An] Negative - May lose bulk-buying discounts: Ordering smaller, more frequent deliveries may cost more per unit than large bulk orders. [An] Suppliers may charge higher unit prices for small

quantities or higher delivery charges for frequent shipments, potentially increasing variable costs.

### **Holding High Inventory Benefits (June 2023 P11 Q5a)**

Q: Explain two benefits of holding high levels of inventory. [4]

A:

- [An] Ability to meet unexpected demand: If customer orders suddenly increase, high inventory means the business can fulfil them immediately without delay. [An] This prevents lost sales, maintains customer satisfaction, and avoids the reputational damage of being unable to supply. Competitors with stock available will capture orders from businesses that cannot fulfil them.
- [An] Protection against supply disruption: High inventory provides a buffer if suppliers face problems (strikes, transport delays, quality issues, natural disasters). [An] Production can continue from stock while alternative supply is arranged, preventing costly production line shutdowns.
- [An] Bulk buying discounts: Purchasing large quantities to hold in stock usually attracts lower unit prices from suppliers. [An] The savings on purchase price may exceed the additional holding costs (storage, insurance, handling), improving overall margins.

### **JIC Purpose (Short Answers)**

Q: Explain the purpose of JIC (Just-in-Case) inventory management. [3]

A:

- [K] JIC means holding high levels of buffer stock to ensure materials are always available when needed, regardless of demand fluctuations or supply uncertainties.
- [An] Purpose: To guarantee continuous production by protecting against supply disruption, demand surges, and lead time uncertainties. This is appropriate when supply is unreliable, demand is unpredictable, or stockout costs are very high (e.g., hospital supplies, seasonal production).

### **Lead Time (Case Study - Motorcycle Components June 2022 P21)**

Q: Define lead time. [2]

A:

- [K] Lead time is the period between placing an order with a supplier and receiving the goods. It includes the time for order processing, production/picking, and delivery. Shorter lead times allow lower inventory levels; longer lead times require earlier ordering and potentially higher buffer stocks.

### **Inventory (Case Study - Cartoon Costumes Nov 2022 P22)**

Q: Explain what is meant by inventory for a business like CC. [2]

A:

- [K] Inventory refers to all the stock held by a business at any point in time. For CC this includes: raw materials (fabric, thread, accessories), work-in-progress (partially completed costumes), and finished goods (completed costumes ready for sale).

### **Mission Statement (Case Study - Motorcycle Components June 2022 P21)**

Q: Explain one benefit of MC having a mission statement. [3]

A:

- [K] A mission statement is a brief description of the business overall purpose and values.
- [An] Benefit: It provides direction and focus for all employees, ensuring everyone understands and works towards the same overall purpose. [An] For MC, a mission statement emphasising "precision engineering and quality" guides decision-making at all levels - from procurement (choosing quality materials over cheapest) to production (not cutting corners) to sales (targeting quality-focused customers).

## **19. OPERATIONS - PRODUCTION METHODS**

Job, batch, flow, mass customisation.

### **Job Production (Case Study - Great Desks June 2023 P23)**

Q: Explain what is meant by job production. [2]

A:

- [K] Job production is when each product is made individually to a specific customer order/specification. Each item is unique (or significantly different from others), made one at a time from start to finish. Examples include custom furniture, wedding cakes, and bespoke tailoring.

### **Batch Production (Case Study - Planting Pots Nov 2022 P23)**

Q: Define batch production. [2]

A:

- [K] Batch production is when a group (batch) of identical products is made together, moving through each stage of production as a unit. The equipment is then reset to produce the next batch of a different product. Examples include bakeries (batch of bread, then batch of cakes) and clothing (batch of size 10, then size 12).

### **Mass Customisation (Case Study - Bear Bears Nov 2023 P22)**

Q: Define mass customisation. [2]

A:

- [K] Mass customisation combines the efficiency of mass/flow production with the personalisation of job production. Products are manufactured using standardised processes but customers can choose specific features/options (colours, accessories, engravings) to create a semi-unique product at near mass-production cost and speed.

### **Changing Production Method (Case Study - Custom Motorcycles Nov 2023 P23)**

Q: Evaluate the impact on CM of changing from job production to batch production. [11]

A:

- [K] CM currently makes each motorcycle individually (job production) and is considering producing batches of similar models.
- [An] FOR - Lower costs: Batch production allows some economies of scale. [An] Buying

components in larger quantities for a batch of 20 identical bikes costs less per unit than buying for one bike. Workers specialise in specific tasks, becoming faster. Setup time is shared across the batch rather than incurred for each individual bike.

- [An] FOR - Faster output: Producing batches means more motorcycles completed per month. [An] This allows CM to grow, serve more customers, and increase revenue without proportionally increasing costs. Waiting times for customers reduce, improving satisfaction.
- [An] AGAINST - Loss of USP: CM differentiation is based on unique, custom motorcycles. [An] Moving to batch production means customers receive one of several standard models rather than a one-off creation. The premium pricing and brand prestige that comes from uniqueness may be lost, and customers may switch to other custom builders.
- [An] AGAINST - Worker demotivation: Skilled craftspeople who take pride in building complete motorcycles may be demotivated by repetitive batch tasks. [An] Job enrichment and satisfaction from seeing a unique creation come together is lost. This may cause skilled workers to leave, reducing quality and requiring costly recruitment.
- [An] AGAINST - Capital investment needed: Switching to batch production requires investment in different equipment, workspace layout changes, and potentially new technology. [An] This is expensive and risky if the market does not respond positively to batch-produced bikes.
- [Ev] JUDGEMENT: The impact depends on CM target market and brand positioning. If the market demands more accessible, affordable motorcycles, batch production enables growth and lower prices. However, if CM brand value is built on exclusivity and craftsmanship, switching to batch production could destroy its competitive advantage. A compromise might be to produce standard models in batches while maintaining a premium custom service for those willing to pay extra - a two-tier approach that captures both market segments.

### **Batch to Mass Customisation Impact (Case Study - Fretter's Music June 2023 P23)**

Q: Analyse the impact on stakeholders of FM changing from batch production to mass customisation. [6]

A:

- [App/An] Customers: Benefit from being able to personalise instruments (colour, specification, engraving) while still receiving them relatively quickly at affordable prices. [An] Previously, customers chose from standard batch-produced models or paid premium for full custom. Mass customisation gives personalisation at near-batch prices, improving customer satisfaction and loyalty.
- [App/An] Employees: May need retraining to operate new flexible manufacturing systems. [An] Some may find the change stimulating (variety of specifications to produce), while others may lose satisfaction if the process becomes more automated. Some workers may face redundancy if technology replaces their roles.
- [App/An] Shareholders: Investment in flexible manufacturing technology is initially expensive, reducing short-term profits/dividends. [An] However, if mass customisation attracts more customers and allows premium pricing for personalisation, long-term profitability should increase, benefiting shareholders through higher future returns.

### **New Machinery Limitation (Case Study - Benjamin's Beds March 2022 P21)**

Q: Explain one limitation of buying new machinery for BB. [3]

A:

- [An] High capital cost: New bed-making machinery requires significant upfront investment. [An] This reduces available cash flow (or requires borrowing with interest costs), and the machinery may

take years to generate sufficient productivity savings to pay for itself. If demand falls before payback, the investment represents a loss.

- [An] Staff retraining needed: Workers must learn to operate new machinery, taking time away from production. [An] During the transition period, productivity may actually fall while workers learn, and some experienced workers may resist change or leave if they feel their skills are no longer valued.

## **B2B vs B2C Recommendation (Case Study - Benjamin's Beds March 2022 P21)**

Q: Recommend whether BB should focus on B2B or B2C sales. [6]

A:

- [K] B2B (Business-to-Business) means selling to other businesses (hotels, retailers). B2C (Business-to-Consumer) means selling directly to individual customers.
- [App/An] B2B advantages: Large, regular orders from hotels or furniture retailers provide predictable revenue and allow efficient batch production. [An] One large contract can fill production capacity, reducing sales and marketing costs per unit. However, dependence on few large customers creates vulnerability if they switch supplier.
- [App/An] B2C advantages: Direct-to-consumer sales (online, own showroom) allow higher margins by eliminating retailer markup. [An] BB can build brand awareness and customer relationships directly. However, B2C requires investment in marketing, delivery logistics, and customer service that B2B does not.
- [Ev] Recommendation: BB should pursue both channels but with different product strategies. B2B for standard bed models (efficient batch production, lower margins but high volume). B2C for premium/custom beds (higher margins, brand building). This diversifies revenue streams and reduces dependence on either channel. The balance depends on BB production capacity and marketing resources.

## **20. OPERATIONS - CAPACITY & OUTSOURCING**

Capacity utilisation, outsourcing.

### **Below Maximum Capacity Impact (Short Answers)**

Q: Explain the impact on a business of operating below maximum capacity. [3]

A:

- [An] Higher average fixed costs per unit: Fixed costs (rent, machinery depreciation, management salaries) are spread over fewer units than the factory was designed for. [An] This means each unit bears a higher share of fixed costs, increasing average total cost per unit and reducing profit margins or competitiveness.
- [An] Wasted resources: Equipment, space, and potentially staff are underutilised, representing wasted investment. [An] The business pays for capacity it does not use, reducing return on capital employed.

### **Over Maximum Capacity Impact (Short Answers)**

Q: Explain the impact of operating over maximum capacity. [3]

A:

- [An] Increased strain on machinery: Running equipment beyond designed capacity leads to more

frequent breakdowns and accelerated wear. [An] This increases maintenance costs, causes production stoppages, and may result in expensive emergency repairs or premature replacement needs.

- [An] Worker stress and quality issues: Staff working overtime, extra shifts, or at rushed pace become tired and demotivated. [An] This leads to higher error rates, more defective output, increased absenteeism, and higher labour turnover. Quality suffers as workers cut corners to meet unrealistic targets.

### **Improving Capacity Utilisation Benefit (Short Answers)**

Q: Explain one benefit of improving capacity utilisation. [2]

A:

- [An] Lower average cost per unit: As more units are produced using the same fixed capacity (premises, equipment), fixed costs are spread over more units. [An] This reduces average total cost, either improving profit margins at the same price or allowing price reductions to increase competitiveness and market share.

### **Outsourcing Definition (Short Answers)**

Q: Define outsourcing and give an example. [3]

A:

- [K] Outsourcing is when a business contracts out a function or process to an external specialist company rather than performing it in-house. [K] Examples include: outsourcing IT support to a technology firm, outsourcing cleaning to a facilities company, outsourcing payroll to an accountancy firm, or outsourcing manufacturing to a contract producer.

### **Outsourcing (Short Answers)**

Q: Explain two advantages and two disadvantages of outsourcing. [6]

A:

- [An] Advantage 1 - Access to specialist expertise: The outsourcing partner specialises in that function, so likely performs it better and more efficiently than the business could internally. [An] For example, an IT specialist firm has deeper expertise, better equipment, and more current knowledge than a small in-house team could achieve.
- [An] Advantage 2 - Cost reduction: Converting fixed costs (permanent staff, equipment) into variable costs (pay only for what you use). [An] The business avoids recruitment, training, and overhead costs for functions that are not core to its competitive advantage.
- [An] Disadvantage 1 - Loss of control: The business depends on an external party for quality, timing, and reliability. [An] If the outsourcing partner underperforms, it directly affects the business customers, but the business has limited ability to intervene compared to managing its own staff.
- [An] Disadvantage 2 - Security/confidentiality risks: Sharing business information, customer data, or processes with external companies creates risks. [An] Sensitive information may be exposed, and the outsourcing partner may work with competitors, potentially leaking proprietary knowledge.

### **Opening New Factory Evaluation (Case Study - Delicious Cocoa June 2023 P21)**

Q: Evaluate whether DC should open a new factory. [11]

A:

- [K] Opening a new factory represents major capital investment and a long-term strategic commitment to growth.
- [An] FOR: Increased capacity to meet growing demand. [App] If DC is operating at or near full capacity, it cannot grow without additional production space. [An] A new factory removes this constraint, allowing DC to accept larger orders, enter new markets, and increase revenue significantly.
- [An] FOR: Economies of scale. [An] A larger operation can negotiate better prices for cocoa beans and other inputs, spread marketing and management costs over more output, and invest in more efficient technology. Lower unit costs improve competitiveness and margins.
- [An] FOR: Geographic diversification. [An] A factory in a different location (perhaps closer to customers or raw material sources) reduces transport costs and supply chain risk. If one factory has problems, the other can maintain some production.
- [An] AGAINST: Massive capital investment with uncertain return. [An] Building and equipping a factory costs millions, funded by loans (interest payments) or share issues (ownership dilution). If demand does not grow as expected, DC has expensive unused capacity and debt obligations.
- [An] AGAINST: Management complexity. [An] Running multiple sites is more complex than one - coordination, communication, quality consistency, and recruitment across locations all become more difficult. Diseconomies of scale may emerge.
- [An] AGAINST: Risk in current economic climate. [An] Economic uncertainty, changing consumer preferences, and potential supply chain disruption make large investments risky. A more cautious approach (e.g., outsourcing production, extending current factory hours) might achieve growth with less risk.
- [Ev] JUDGEMENT: DC should open a new factory only if: demand forecasts are strong and well-researched, finance is available at acceptable cost, and management has capacity to run multiple sites. The investment should be phased (start smaller, expand if demand proves real) rather than committing to maximum capacity immediately. Alternative growth strategies (outsourcing, partnerships, shift patterns) should be compared on a cost-benefit basis before committing to the highest-risk option.

### **Opening New Location Evaluation (Case Study - Move Well Nov 2022 P21)**

Q: Evaluate whether MW should open a new fitness studio location. [11]

A:

- [K] Opening a new location means replicating the business model in a different geographic area.
- [An] FOR: Growth in revenue and market reach. [An] A second location serves customers in a different area who cannot travel to the original. This doubles potential market reach and revenue without cannibalising existing customers.
- [An] FOR: Economies of scale in marketing and brand. [An] Marketing costs (website, social media, brand development) can be shared across both locations. The brand becomes more recognisable with multiple locations, building credibility and trust.
- [An] AGAINST: High fixed costs and risk. [An] Rent, equipment, utilities, and staff for a second location represent significant ongoing costs regardless of customer numbers. If the new location fails to attract sufficient customers, losses can threaten the entire business.
- [An] AGAINST: Management stretch. [An] The owner cannot be in two places at once. Quality and culture may suffer at the location without direct owner supervision. Hiring a manager adds cost and introduces delegation risks.
- [Ev] JUDGEMENT: MW should open a new location only after the first is consistently profitable and

the owner has developed systems (class schedules, quality standards, staff management) that can be replicated without their constant presence. Market research should confirm demand in the proposed location. Starting with a smaller/cheaper space (testing demand) before committing to a large lease reduces risk. Alternatives (more classes at existing location, online classes) should also be considered as lower-risk growth options.

## **ADDITIONAL CASE STUDY ANSWERS**

Selected case study questions that span multiple topics.

### **Working Capital Calculation (Case Study - Cartoon Costumes Nov 2022 P22)**

Q: CC has current assets of \$15,000 and current liabilities of \$9,000. Calculate working capital. [2]

A:

- [Calc] Working capital = Current assets - Current liabilities = \$15,000 - \$9,000 = \$6,000
- [An] CC has \$6,000 available for day-to-day operations after meeting short-term obligations. This appears adequate but depends on the scale of operations and timing of cash flows.

### **Market Share Calculation (Case Study - Benjamin's Beds March 2022 P21)**

Q: Define market share. [2]

A:

- [K] Market share is the proportion (percentage) of total market sales that is captured by one business. Formula: (Business sales / Total market sales) x 100. It indicates the business competitive position relative to rivals in the same market.

### **Opportunity Cost (Case Study - Office Furniture Designs June 2023 P22)**

Q: Define opportunity cost. [2]

A:

- [K] Opportunity cost is the value of the next best alternative that is given up when a decision is made. For example, if OFD spends \$50,000 on new machinery, the opportunity cost might be the marketing campaign or staff training that the money could otherwise have funded.

### **Corporate Objectives (Case Study - Move Well Nov 2022 P21)**

Q: Define corporate objectives. [2]

A:

- [K] Corporate objectives are the specific, measurable goals set for the whole organisation, derived from its mission statement and aims. They provide direction for all departments and are used to measure overall business performance. Examples include profit targets, market share goals, and growth objectives.

### **Internal Growth (Case Study - Move Well Nov 2022 P21)**

Q: Define internal (organic) growth. [2]

A:

- [K] Internal (organic) growth is expansion achieved using the business own resources and capabilities, such as opening new locations, developing new products, hiring more staff, or investing in increased capacity. It does not involve merging with or acquiring other businesses.

### **Redundant Definition (Case Study - Seaside Hotel June 2022 P22)**

Q: Define redundancy. [2]

A:

- [K] Redundancy occurs when an employee job ceases to exist because it is no longer needed by the business. This may be due to closure, restructuring, automation, or declining demand. The employee is dismissed not because of their performance but because the role itself is eliminated.

### **Training Type (Case Study - Gold Theme Park Nov 2023 P22)**

Q: Identify and explain one appropriate type of training for new GT staff. [3]

A:

- [App/An] Induction training: New theme park staff need immediate training on health and safety procedures, emergency protocols, ride operation procedures, and customer service standards. [An] This is essential before they begin work because theme parks involve significant safety risks (rides, crowds, food handling). Untrained staff operating rides or managing crowd safety could cause serious accidents and legal liability.

### **Direct Costs (Case Study - Gold Theme Park Nov 2023 P22)**

Q: Define direct costs and give an example for GT. [2]

A:

- [K] Direct costs are costs that can be directly traced to and identified with a specific product, service, or activity. [App] For GT, direct costs include: ride maintenance costs (directly linked to specific rides), food ingredients (directly linked to food sales), and performer wages (directly linked to entertainment shows).

### **Secondary Research Sources (Case Study - Gold Theme Park Nov 2023 P22)**

Q: Explain two sources of secondary research GT could use. [4]

A:

- [App/An] Tourism industry reports: Published data on visitor numbers, spending patterns, and tourism trends from government tourism bodies or industry associations. [An] This helps GT understand market growth, seasonal patterns, and visitor demographics without the cost of conducting its own research.
- [App/An] Competitor websites and social media: Reviewing other theme parks pricing, new attractions, and customer reviews provides competitive intelligence. [An] This is free and readily available, helping GT benchmark its offering and identify gaps or opportunities that competitors are exploiting.

### **Intrapreneurship Importance (Case Study - Gold Theme Park Nov 2023 P22)**

Q: Explain the importance of intrapreneurship for GT. [4]

A:

- [K] Intrapreneurship means employees within GT generating innovative ideas for new attractions, services, or operational improvements.
- [App/An] Theme parks must constantly innovate to attract repeat visitors. [An] If employees are encouraged to develop new ride concepts, event ideas, or operational improvements, GT stays fresh and exciting without relying solely on expensive external consultants or management ideas.
- [An] Employees working daily with visitors often identify opportunities that management misses (e.g., gaps in food offerings, queue management improvements, new merchandise ideas). [An] Harnessing this frontline knowledge through intrapreneurship creates continuous improvement at low cost.

### **Decreased Staff Morale Impacts (Case Study - Benjamin's Beds March 2022 P21)**

Q: Explain two impacts on BB of decreased staff morale. [4]

A:

- [An] Lower productivity: Demotivated workers put less effort into their work, working more slowly and taking less care. [App] For BB, this means fewer beds produced per day and potentially lower quality craftsmanship. [An] Lower productivity increases cost per bed and may delay customer orders.
- [An] Higher absenteeism and turnover: Unhappy workers take more sick days and eventually leave for other jobs. [An] This disrupts production schedules, increases recruitment and training costs, and loses experienced workers whose skills and knowledge are difficult to replace quickly.

### **Equality in Workplace Evaluation (Case Study - Bear Bears Nov 2023 P22)**

Q: Evaluate the importance of equality in the workplace for BB. [6]

A:

- [K] Workplace equality means treating all employees fairly regardless of gender, age, ethnicity, disability, or other protected characteristics.
- [An] FOR: Legal compliance. [An] Discrimination is illegal in most countries. BB must ensure equal treatment to avoid employment tribunals, fines, and reputational damage from discrimination cases.
- [An] FOR: Access to best talent. [An] If BB recruits and promotes based on merit rather than bias, it gets the best people for each role. Discriminating against any group artificially limits the talent pool, potentially missing excellent candidates.
- [An] FOR: Improved morale and productivity. [An] Employees who feel fairly treated are more motivated and committed. Those experiencing discrimination become demotivated, produce poor-quality work, and leave quickly - all costly for the business.
- [An] AGAINST: However, implementing equality measures (training, policy development, monitoring, reporting) takes time and money that a small business like BB may struggle to resource. [An] The owner may feel that as a small team, they already treat everyone fairly without formal policies. But informal approaches risk unconscious bias.
- [Ev] Both morally and commercially, equality is important for BB. Fair treatment attracts and retains the best workers, avoids legal risks, and creates a positive culture. While formal equality policies have implementation costs, the risks of NOT having them (legal action, poor reputation, limited talent pool) far outweigh the investment.

## Ethics in Clothing Retail Marketing (Nov 2023 P13 Q5b)

Q: Evaluate the importance of ethical considerations in marketing for a clothing retailer. [11]

A:

- [K] Ethical marketing means being honest, transparent, and responsible in all marketing activities - avoiding deception, exploitation, or harm.
- [An] FOR: Honest advertising builds trust. [An] If a clothing retailer claims products are "sustainable" or "ethically sourced" and this is true, it builds a loyal customer base who trust the brand. Greenwashing (false claims) is increasingly detected by social media and investigative journalism, causing severe reputational damage.
- [An] FOR: Responsible body image representation. [An] Using diverse models and avoiding unrealistic body standards is both ethical and commercially sensible - customers respond positively to brands that make them feel included rather than inadequate. This builds emotional connection and loyalty.
- [An] FOR: Fair pricing/no deception. [An] Honest pricing (no misleading "was" prices, genuine sales) builds long-term customer trust. Retailers caught using deceptive pricing face regulatory action, media criticism, and customer boycotts.
- [An] AGAINST: However, strict ethical standards may limit marketing options. [An] Not using "aspirational" imagery, not exaggerating product benefits, and not using high-pressure sales tactics may reduce short-term sales compared to less ethical competitors who use these techniques effectively.
- [Ev] JUDGEMENT: Ethical marketing is increasingly important for clothing retailers because: consumers are more informed and ethically aware (especially younger demographics), social media exposes unethical practices quickly, and regulatory standards are tightening. While ethical marketing may sacrifice some short-term sales, it builds the long-term brand value, customer loyalty, and reputation that sustain the business. The fashion industry faces particular scrutiny on ethics (fast fashion, body image, sustainability), making ethical marketing a competitive necessity rather than just a moral choice.

## Motivating Young People (Case Study - Delicious Cocoa June 2023 P21)

Q: Evaluate how DC could motivate young workers in a cocoa factory. [11]

A:

- [K] Young workers (often in their first jobs) may have different motivational needs than experienced workers.
- [An] Financial motivators: Fair wages are essential as a hygiene factor (Herzberg). [App] Young workers often have immediate financial needs (rent, transport, social life). [An] Competitive wages, performance bonuses, or piece rates directly address these needs and provide clear incentive for effort.
- [An] Training and development: Young workers value learning new skills and career progression. [An] Offering structured training programmes, apprenticeships, and clear promotion pathways shows DC invests in their future. This satisfies esteem and self-actualisation needs (Maslow) and acts as a motivator (Herzberg - personal growth).
- [An] Social/team environment: Young workers often highly value social connection at work. [An] Team-based production, social events, and a friendly atmosphere satisfy belonging needs (Maslow) and make work enjoyable. A positive social environment reduces turnover among young workers who might otherwise move on quickly.
- [An] Recognition and feedback: Regular positive feedback and recognition of achievements. [An]

Young workers new to employment particularly value knowing they are performing well. "Employee of the month" schemes, public praise, and constructive feedback build confidence and motivation.

- [Ev] JUDGEMENT: The most effective approach combines fair pay (addressing basic needs) with development opportunities and a positive social environment. According to Herzberg, pay alone prevents dissatisfaction but does not create true motivation - that comes from achievement, recognition, and growth. For young workers specifically, the social environment and development opportunities are often more important than for older workers who may prioritise job security or work-life balance. DC should offer a package that addresses multiple needs simultaneously.

### **Objectives Changing (Case Study - MX Bikes June 2023 P22)**

Q: Explain two reasons why a business might change its objectives. [4]

A:

- [An] Change in market conditions: If the market enters recession, growth objectives may be replaced by survival objectives. [App] If the motorcycle market declines due to fuel prices or regulation, MXB might shift from "increase market share" to "maintain profitability." [An] Objectives must be realistic and relevant to current conditions.
- [An] Change in business stage/size: As a business grows from start-up to established, objectives naturally evolve. [An] A start-up might focus on survival and building reputation; once established, objectives shift to growth, profit maximisation, or market dominance. What was appropriate for a small firm becomes irrelevant for a larger one.

### **Finance Choice Factors (Case Study - Office Furniture Designs June 2023 P22)**

Q: Explain one factor that affects the choice of source of finance for OFD. [3]

A:

- [An] Purpose and duration of need: If OFD needs finance for a short-term purpose (buying timber for current orders), a short-term source (overdraft, trade credit) is appropriate. If needed for a long-term investment (new workshop, machinery), a long-term source (bank loan, mortgage) matches the repayment to the asset lifespan. [An] Using short-term finance for long-term assets creates repayment pressure before the investment generates returns.

### **Business Plan Element (Case Study - Jake's Cakes Nov 2023 P23)**

Q: Identify one element of a business plan relevant to JC. [2]

A:

- [App] Financial forecast/cash flow forecast: JC business plan would include predictions of monthly income (from cake sales), expenses (ingredients, rent, wages, utilities), and the resulting cash position. [An] This is essential for securing any loan or investment and for ensuring JC has enough funding to survive the initial months before building a customer base.

### **Consumer Market (Case Study - Fretter's Music June 2023 P23)**

Q: Define consumer market. [2]

A:

- [K] A consumer market (B2C) is one where products and services are sold to individual end-users for personal use rather than to other businesses. FM sells guitars, drums, and music accessories to

individual musicians and hobbyists for their personal use.

### **International Market Cost Impacts (Case Study - Fretter's Music June 2023 P23)**

Q: Explain two cost implications of selling in international markets for FM. [4]

A:

- [App/An] Shipping and logistics costs: Sending musical instruments internationally requires specialist packaging (instruments are fragile and valuable), international freight services, and customs documentation. [An] These costs are significantly higher than domestic delivery and may make prices uncompetitive in distant markets unless absorbed or passed to customers.
- [App/An] Marketing and localisation costs: Reaching customers in different countries requires translated websites, market research into local preferences, and potentially different marketing strategies. [An] These additional costs must be incurred before any international sales are generated, representing a financial risk if international expansion fails to attract sufficient customers.

### **Marketing Mix Element (Case Study - Fretter's Music June 2023 P23)**

Q: Identify the most important element of the marketing mix for FM. [3]

A:

- [App/An] Product is arguably most important for a specialist music retailer: Musicians are knowledgeable and demanding customers who prioritise product quality, brand reputation, and range. [An] If FM does not stock respected instrument brands in good condition and variety, no amount of pricing or promotion will attract serious musicians. The product offering IS the business - customers visit FM specifically for its instrument selection and expertise.

### **Bank Loan Evaluation (Case Study - Jake's Cakes Nov 2023 P23)**

Q: Evaluate whether a bank loan is the best source of finance for JC to expand. [11]

A:

- [K] A bank loan provides a lump sum repaid with interest over a fixed period in regular instalments.
- [An] FOR: Provides a large sum for significant investment (new oven, larger premises, delivery van). [An] The fixed repayment schedule is predictable, aiding cash flow planning. JC knows exactly what to pay each month.
- [An] FOR: Retains full ownership - unlike selling shares, a loan does not dilute ownership or give the bank any control over business decisions. [An] JC owner maintains complete autonomy while having access to funds for growth.
- [An] AGAINST: However, interest charges increase total repayment above the amount borrowed. [An] For a small cake business with potentially variable income (seasonal demand, event-dependent orders), fixed loan repayments create pressure even in quiet months when cash flow is tight.
- [An] AGAINST: Banks require security (collateral) for loans. [An] JC may need to pledge personal assets (house, car), creating personal financial risk for the owner. Additionally, banks may be reluctant to lend to a small, relatively new food business with limited track record.
- [An] AGAINST: Alternative sources may be more appropriate. [An] Crowdfunding provides finance plus marketing; retained profits avoid debt entirely; trade credit from ingredient suppliers provides short-term flexibility without formal borrowing.
- [Ev] JUDGEMENT: A bank loan is appropriate for JC if: the expansion requires significant upfront investment (new premises), JC has sufficient trading history to satisfy the bank, and projected cash

flows comfortably cover repayments. For smaller investments, retained profits or supplier credit may be preferable. For a completely new venture, crowdfunding might better serve both finance and marketing needs. The best source depends on the amount needed, JC track record, and available collateral.

#### END OF MODEL ANSWERS BY TOPIC

This document covers the complete Cambridge AS Business 9609 syllabus with model answers organised across all 20 topic areas plus additional case study material.